



Indira Gandhi National Open University
School of Management Studies

MMPM-005

Marketing of Services

Marketing of Services

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COURSE INTRODUCTION

Dear Learners,

The concept of “service” is quite broad and includes a wide range of services. A service business is one in which the buyer’s perception of the value of the offering is mostly dependent on the services rendered to him rather than the products offered. Additionally, service quality is described as the delivery of excellent or superior service relative to customer expectations. The service sector has grown substantially in all the developed economies as well as in India. The reasons for growth in service industries include increasing affluence, more leisure time, greater life expectancy, increasing complexity of life, etc. As a result of the growth of the service sector, challenges affecting industries in this sector globally have received increased attention. The distinctive characteristics of services necessitate distinct marketing strategies for services. For the successful marketing of services, effective management of the four Ps—product, price, place, and promotion—is necessary but insufficient. This understanding led to the development of an expanded marketing mix that now includes the three additional Ps—people, physical evidence, and process. Interactive marketing, external marketing, and internal marketing must be successfully implemented for a service to be successful.

Digital transformation, and the widespread availability of new technologies, is rapidly changing the way customers and companies interact. Omni-channel customer service is a reality. Price comparison websites, peer review platforms, and social media have increased the knowledge of today’s savvy consumers regarding the best offers or the most appropriate products and services for their needs. Increasing customer demand and rising competition are challenges for service businesses. Marketers need to have a distinct set of competencies in order to design, manage, and assess the processes and performance that make up the service offering. The course is divided into four blocks and has 14 units. Activities and project assignments to aid application of the concepts of marketing of services have been specially added to facilitate learning.

Learning Outcomes

After studying this course, you should be able to:

- Explain the reasons for growth of the service sector.
- Assess the distinct characteristics of services and their marketing implications.
- Examine the significance of the extended marketing mix for services.
- Design service quality measurement tools to assess the efficacy and efficiency of service offerings

- Develop strategies for managing demand and capacity of services.
- Appreciate the significance of customer relationships and customers retention strategies for service businesses.
- Appreciate the profound impact of technology on service.
- Explore and visualize the emerging trends in the marketing of services.



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BLOCK 1 MARKETING OF SERVICES : AN OVERVIEW

The first block of the course is concerned with the conceptual framework for the marketing of services. The block consists of three units. The first unit, entitled “Marketing of Services: An Introduction,” explains the concept of service, reasons for the growth of the service sector, global trends in services, and service sectors in India. The unit also gave a brief overview of IT BPM services, tourism, financial services, telecommunication services, healthcare services, ports, shipping and waterways services, the space sector, and start-ups in services.

The second unit, “Conceptual Framework for Services Marketing,” explains why marketing practises and applications need to be specifically evolved for services, as they are, in certain characteristics, distinct from goods. The unit deals with the characteristics, classification, and marketing mix of services. The unit also discusses the service marketing triangle framework which explains how three distinct types of marketing—interactive marketing, external marketing, and internal marketing—must be successfully implemented for a service to be successful. The unit ends with highlighting the effects of technological innovation on service marketing.

The last unit of the block, “Consumer Behaviour in Services”, applies the basic concepts of consumer behaviour to services marketing. The unit discusses the impact of service characteristics on service buying and the marketing implications of consumer expectation and perception for service buying. The unit also discusses the recent trends that have impacted consumption of services, including the impact of technology and the implications these developments have for marketers and providers of services.

UNIT 1 MARKETING OF SERVICES: AN INTRODUCTION

UNIT 2 CONCEPTUAL FRAMEWORK FOR SERVICES MARKETING

UNIT 3 CONSUMER BEHAVIOUR IN SERVICES

UNIT 1 MARKETING OF SERVICES: AN INTRODUCTION

Learning Outcomes

After studying this unit, you should be able to:

- appreciate the concept of services
- assess the reasons for growth of the service sector
- explain the employment trends and how India is transforming to a service-based economy.
- understand global trends in services
- analyse the specific service sectors in India

Structure

- 1.1 Introduction
- 1.2 The Concept of Service
- 1.3 Reasons for Growth of the Service Sector
- 1.4 Global Trends in Services
- 1.5 Service Sectors in India
- 1.6 An Overview of Specific Service Sectors
- 1.7 Summary
- 1.8 Keywords
- 1.9 Self- Assessment Questions
- 1.10 References and Further Readings

1.1 INTRODUCTION

Economists have divided all industrial and economic activities into three main groups: primary, secondary, and tertiary. Primary activities include agriculture, fishing and forestry. Secondary activities cover manufacturing and construction; tertiary activities refer to the services and distribution. In the pre-industrialised era, primary activities were the mainstay of the economy. The Industrial Revolution marked the beginning of increasing importance of secondary activities and the gradually decreasing the status of agriculture and allied activities. The period following World War II saw USA become the world's first 'service economy' with more than 50 per cent of the working population employed in producing services and today more than 80 per cent of the US economy is service-oriented. This led a New York Congressman to remark that America is becoming a nation of people who are "serving each other hamburgers or taking in each other's' laundry".

Presently, the majority of developed economies have already transitioned to a service-based economy, and emerging economies such as India and China are moving quickly in that direction. At the same time, the services sector also significantly supports the expansion and growth of the manufacturing

and agricultural sectors, as opposed to displacing them. For instance, the development of information and communication technology has greatly improved productivity in the industrial and commercial sectors. For the expansion and development of the manufacturing and agricultural sectors, services provide the necessary infrastructure and assistance. Services help improve productivity, make the best use of resources, make quality managerial decisions, and more, all of which have an effect on a society's standard of living and economic growth. Deniel Bell, in his book 'The Coming of the Post-industrial Society' called this period of dominance by the service sector as the post-industrial society. According to him: "if an industrial society is defined by the quantity of goods as marking a standard of living, the post-industrial society is defined by the quality of life as measured by the services desirable and possible for everyone."

1.2 THE CONCEPT OF SERVICE

Widespread interest in the effective management and marketing of services as well as the inconclusive debate on how distinct is the marketing of intangible services from that of the tangible products, have enriched the literature by highlighting the service characteristics as that of intangibility, immediacy, individuality, perishability, heterogeneity, ownership, inseparability of production from consumption, and being experimental. In common parlance, these characteristics are also referred as:

- Services are performed, not produced.
- Services are people as well as technology-based.
- Services supply cannot be easily changed to meet the suddenly changed market needs.
- Service demand has greater elasticity.
- Services face unique quality control issues and a larger number of problems in customer servicing.
- Service quality is an amalgam of services.

Activity 1

If we take tangibility and intangibility as the opposite ends of a continuum, can you by looking around identify services which can be classified along this continuum? Think of the services utilized by you as an individual, as a family and as an organisation.

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The term service is rather general in concept, and it includes a wide variety of services. A list of selected services is shown in Table 1.1. There are the business and professional services such as advertising, marketing research, banking, insurance, computer-programming, legal and medical advice. Then there are services which are provided by professionals but consumed

for reasons not of business, rather for leisure, recreation, entertainment and fulfilment of other psychological and emotional needs such as education, fine arts, etc.

Table 1.1: List of Selected Services

Utilities Electricity Water Supply Law Enforcing, Civil, Administrative and Defence Services Police Army Air Force Navy Judiciary Civil Administration Municipal Services (Sewage, maintenance of roads parks and public buildings) Transport and Communication Railways (Passenger and Freight) Air Transport (Passenger and Freight) Post and Telegraph Telephone and Telecommunication Broadcasting (All India Radio) Telecasting (Doordarshan) Distributive Trades Wholesale Distribution Retail Distribution Dealers, Agents	Insurance, Banking, Finance Banks Share and Stock Brokers Business, Professional and Scientific Activities Advertising Marketing Research Consultancy Accountancy Legal Medical Educational Research Maintenance and Repairs (of plants, machinery and equipment) Leasing Computer Programming Employment Agencies Leisure, Recreation Cinema, Theatre Clubs, Gymnasiums Restaurants, Hotels Video Game Parlours Casinos Self-improvement Courses Miscellaneous Beauty Parlours Health Clubs Domestic Help Dry Cleaning Matrimonial Service
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Source: Adapted from Donald Cowell, 'The Marketing of Services', Heinemann, London

Faced with such a broad spectrum we need to define the concept of service from a marketing view-point. Kotler offers one such definition: "A service is any activity or benefit that one party can offer to another that is essentially

intangible and does not result in the ownership of anything.” Its production may or may not be tied to physical product.

W.J. Stanton views services as fulfilling certain wants and states that, “services are those separately identifiable, essentially intangible activities which provide want-satisfaction, and are not necessarily tied to the sale of a product or another service. To produce a service may or may not require the use of tangible goods. However, when such use is required, there is no transfer of title (permanent ownership) to these tangible goods.” As in the case of a product, in the case of services also your starting point for understanding the marketing dynamics is the want satisfaction of the customers. It is important to correctly identify the particular want(s) which your service is fulfilling, since this will provide the clue for designing the most appropriate marketing strategy. Services are different from physical goods. Table 1.2 covers some of the major differences between goods and services.

Table 1.2 Differences between Goods and Services

Goods	Services
The term “goods” refers to the tangible products that people are willing to buy for a price.	The term “services” refers to the comforts, benefits, or facilities supplied by other individuals.
Goods are tangible, that is, they can be seen or touched.	Services are intangible, that is, they could not be seen or touched.
Ownership of the goods passes from seller to buyer; the moment buyer pays for it.	Service ownership is non-transferable.
Evaluating good is easy since the quality standards are uniform.	Evaluating services is challenging since each service provider approaches service differently.
Goods can be returned or replaced with the vendor.	Services cannot be returned or exchanged once they have been performed.
The seller and the goods can be distinguished.	The services and providers are inextricably linked.
The goods’ physical attributes and specifications will always remain the same.	The services will never have the same attributes.
Goods can be stored for later use.	Services are time-sensitive; if they are not used within a specified period of time, they cannot be stored.
Goods are produced first, traded, and then consumed.	Services are simultaneously produced and used.

A restaurant provides satisfaction to its customers on the basis of type and quality of its food, its decor and environment and the behaviour of its staff and its location in a busy commercial-cum office complex. For instance,

‘Class Touch’ was started as a restaurant serving exclusive Western and Chinese cuisine with an expensive decor, a live band, beautifully liveried waiters and a high-price menu. The venture was a flop right from the start. On the advice of its marketing consultant, the restaurant changed over from serving elaborate, expensive meals to a ‘fast-food’ outlet providing quick, reasonably priced meals for consumption both within and outside the restaurant. Today this restaurant is a big success. It was the correct identification of the want-satisfaction which helped the restaurant become successful. Located in a predominantly office complex, the owners realised that in lunch-break, people do not visit a restaurant for relaxation or status satisfaction. They have limited time at their disposal and want a quick clean meal at a reasonable price, with minimum frills and fancy. In this case, the restaurant was satisfying the basic hunger need, but was catering to a very specific class of customer (office-goers) with a special kind of constraint (that of time and money).

To be successful, you have to firstly, identify the basic need which is being fulfilled by your service, and secondly, find ways and means to differentiate it from that of the competitors so that you can increase your number of customers and also command their loyalty. In our earlier example of the restaurant, it was only after the basic need had been correctly identified that the restaurant could adopt an appropriate marketing strategy and turn the corner. Thus, as a marketing manager involved in the marketing of services your first concern should be the identification of the customers’ needs. A clue to this can be provided by looking into the reason for the phenomenal growth of the service sector in recent times.

Activity 2

Study an organisation engaged in Marketing of Education and Training Services to describe:

- i) The need or want that these services satisfy.
- ii) The nature of services which these organisations are providing.
- iii) How the services of these organisations are differentiated from those of their competitors?

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1.3 REASONS FOR GROWTH OF THE SERVICE SECTOR

Services are extensively used by people day to day in all aspects of life. From education to entertainment, finance to fast food, travel to telephone, advertisement to amusement parks, market research to maintenance services, and retailing to recreation, and so on. Today services are increasingly being used by corporate as well as household sector. The explosive growth in this sector started in the 20th century, especially after the end of World War II. Due to large scale destruction during the war lot of economic activities, had to be carried out to bring the war torn economies back to strength. This resulted in a number of new projects fuelling the demand for financial services.

Manufacturing industries grew because they produced tangible goods which satisfied people's physiological needs of food, shelter and clothing. As the basic need was fulfilled there was demand for improved satisfaction, and this led to a proliferation of variations of the same product and a number of companies involved in its manufacture. The growth of service industries can be traced to the economic development of society and the socio-culture changes that have accompanied it. Today households as well as firms are demanding more services as well as services of increasing quality and sophistication. There are number of reasons for this growth in service sector. Table 1.3 presents the reasons for growth of service industries.

Sometimes, the growth of a specific service industry is the result of a combination of several reasons. Increasing affluence coupled with the desire to utilise leisure time for leisure rather than for doing odd repair jobs in the house had led to the growing tribe of plumbers and electricians. Increasing affluence combined with increasing complexity of life and increasing insecurity has led to the phenomenon of credit cards and travellers' cheques which have proved to be almost perfect substitutes for money. These credit cards provide convenience and safety. Visits to bank branches have significantly decreased as a result of online banking and mobile payment apps. In fact, convenience is proving to be a key concept in the provision of services.

Table 1.3: Reasons for Growth of Service Industries

Reasons		Types of services required
1	Increasing affluence	Greater demand for services (activities which consumers used to perform themselves) such as interior decoration, laundry, care of household products such as carpets, care of garden etc.
2	More leisure time	Greater demand for recreation and entertainment facilities, travel resorts, adult education and self-improvement courses.
3	Higher percentage of women in labour force	Greater demand for crèches, babysitting, household domestic help
4	Greater life expectancy	Greater demand for nursing homes and health care services
5	Greater Complexity of products	Greater demand for skilled specialists to provide maintenance for complex products such as air conditioners, cars, home computers.
6	Increasing complexity of life	Greater demand for specialists in income-tax, labour laws, legal affairs, marriage counselling, employment services.

7 Greater concerns about ecology and resource scarcity	Greater demand for purchased or leased services, car rental, travel, resort to time sharing rather than ownership basis.
8 Increasing number of new products	The computer-sparked development of such service industries as programming, repair and time sharing.

Source: Schoell, K.F. and J.T. Ivy, 1981 "Marketing : Contemporary Concepts and Practices," Allyn and Bacon; Boston.

Activity 3

Describe any additional reasons you think contributed to the service industries' growth that are not listed in table 1.3.

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In addition to above mentioned factors, globalization has resulted in growth of service sector as well. Globalization of economies has led to an increased demand for communication, travel and information services. This has been fuelled by the rapid changes brought by new information technology. Globalization has also made increased and new demands on legal and other professional services. Also, increased specialization has led to greater reliance on specialist service providers at international level e.g., advertising and market research.

At times it is argued that growth in services is at the expense of manufacturing sector of the economy. However, it is not true. In fact, services and manufacturing are positively linked to each other. Micheal Porter in his book, 'The Competitive Advantage of Nations' identified three distinct links between manufacturing and services as explained below:

- i) **Buyer/supplier relationship:** Many service industries have come into existence through the de-integration of service activities by manufacturing firms. An automobile manufacturer may outsource number of service activities like transportation, warehousing, marketing research, legal services, education and training of its employees, information processing etc. Service industries depend a lot on manufacturing firms for a significant share of their sales.
- ii) **Services tied to the sale of manufactured goods:** Sale of a wide variety of manufactured goods creates demand for associated services. The sale of consumer durables requires ongoing need for servicing, sale of computers leads to demand for training services and after sales services, exports of any manufactured goods would require sale of insurance, financial services and transportation services.
- iii) **Manufactured goods tied to the sale of services:** This link is reverse of the previous one. The sale of certain services leads to demand for

manufactured goods, for example sale of engineering or management consulting from a nation can lead to demand for equipment and other associated manufactured goods from that nation. Also, provision of a service requires a lot of manufactured goods.

1.4 GLOBAL TRENDS IN SERVICES

There has been a structural shift away from primary activities and manufacturing toward services all over the world. In advanced economies, services already accounted for 76% of GDP in 2015, up from 61% in 1980 (UNCTAD, 2017a). Figure 1.1 depicts the relative size of the service sector in various large and small economies. Services account for 69% of GDP in Japan and nearly 80% in the United States. In India, the service sector is estimated to contribute 62 percent of GDP.

Figure 1.1 Estimated size of service sector in selected countries as a percentage of GDP

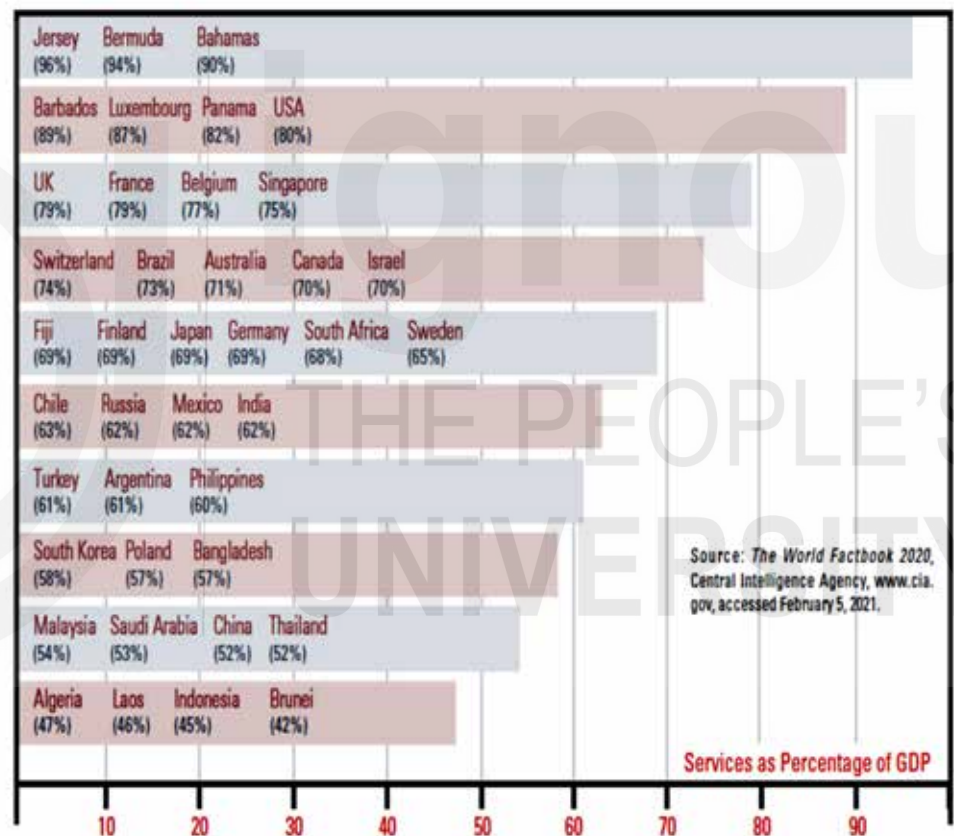
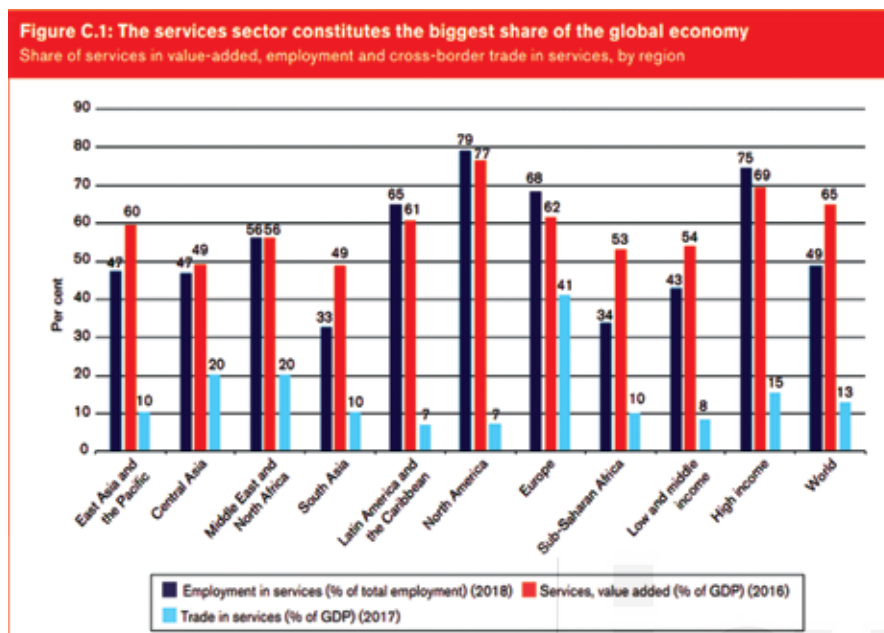


Figure 1.6 Estimated size of service sector in selected countries as a percentage of GDP

Source: Wirtz and Lovelock (2022). *Services Marketing: People, Technology, Strategy*, Ninth edition,

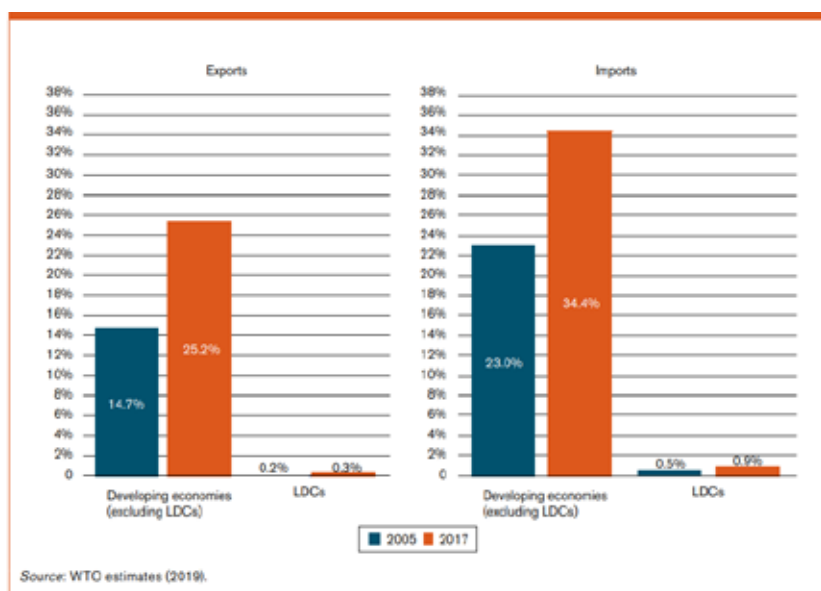
The services sector also accounts for the majority of the global economy. According to Figure 1.2, the services share ranges from 49% in South Asia to 77% in North America. It accounts for roughly two-thirds of global value-added. Apart from South, South and Central Asia, it is thus higher than agriculture, industry, and natural resource sectors combined in all other major geographical regions. This hints at the enormous potential for increased trade in services to deliver significant economic gains to the world.

Figure 1.2: Share of services in value-added, employment and cross-border trade in services, by region



The growth in service sector output and employment has also been accompanied by increased internationalization of service sector transactions, driven by rapid advances in information and communication technology, the growing presence of multinational corporations and outsourcing of activities, and deregulation of services. According to the WTO, the value of global commercial services trade grew sevenfold between 1980 and 1999, from \$ 358 billion in 1980 to US \$ 933 billion in 1990 to \$1.4 trillion in 2000, and US\$ 13.3 trillion in 2017. Since 2005, trade in services has grown by 5.4 percent per year on average, outpacing trade in goods by 4.6 percent per year. Between 2005 and 2017, developing economies, excluding LDCs (Least Developed Countries), increased their share of global trade by more than ten percentage points, reaching US\$ 3.4 trillion in global services exports and US\$ 4.5 trillion in global services imports (see Figure 1.3).

Figure 1.3: Developing economies share in world trade in commercial services, 2005 and 2017



1.5 SERVICE SECTOR IN INDIA

The services sector in India includes a wide range of activities such as trade, hotels and restaurants, transportation, storage and communication, financing, insurance, real estate, business services, community, social, and personal services, and construction services. The service industry is becoming more significant to the Indian economy. In accordance with the global trend, India's services industry is expanding significantly and accounts for more than half of the country's GDP. The primary and secondary sectors are supplied with the necessary facilities by the service sector.

The Service sector has contributed significantly to exports and provided widespread employment. An assessment of the Indian economy's growth path over the last 16 years, from 2003 to 2019 (Table 1.4) reveals that growth is primarily driven by the services sector, which has shown resilience throughout the period, with the exception of 2008-09. From 2014 to 2019, the services sector contributed 68.8 percent of GVA, industry contributed 25.1%, and agriculture contributed 6.1%. Agriculture, forestry, and fishing growth is unpredictable due to reliance on monsoon, but an increasing share of allied activities that are relatively insulated from weather uncertainties has given the sector some resilience. As a result, agriculture has lost its share of total GVA to the services sector. Manufacturing, on the other hand, has driven industrial GVA and has broadly maintained its share, reflecting its forward and backward linkages with other sectors.

Table 1.4: Sector-wise GVA Growth

Sectors	Growth (per cent)					Contribution to Growth (per cent)					
	2003-08	2008-09	2009-11	2011-14	2014-19	2003-08	2008-09	2009-11	2011-14	2014-19	
1	2	3	4	5	6	7	8	9	10	11	
I. Agriculture, forestry and fishing	4.5	-0.2	4.0	4.5	2.9	12.0	-1.2	8.7	14.6	6.1	
II. Industry	8.4	3.4	9.1	2.9	8.1	24.9	18.6	29.2	11.8	25.1	
i. Mining and quarrying	5.2	-2.5	9.7	-5.6	7.1	3.1	-2.4	5.0	-4.4	2.8	
ii. Manufacturing	9.6	4.7	9.3	4.5	8.4	19.7	18.5	22.2	14.1	20.0	
iii. Electricity, gas, water supply and other utility services	7.1	4.9	6.5	5.1	7.5	2.1	2.5	2.0	2.1	2.3	
III. Services	8.6	6.4	8.0	7.0	8.2	62.0	82.6	62.1	73.6	68.8	
i. Construction	12.8	5.6	6.4	5.4	5.7	13.4	11.6	7.9	9.0	6.5	
ii. Trade, hotels, transport, communication and services related to broadcasting	9.4	2.4	9.0	7.5	8.4	20.3	9.6	19.8	24.0	21.4	
iii. Financial, real estate and professional services	7.6	5.2	5.6	8.5	8.8	19.4	23.5	15.0	28.8	25.7	
iv. Public administration, defence and other services	6.3	15.8	11.8	5.1	8.8	8.9	37.8	19.4	11.7	15.2	
IV. GVA at basic prices	7.7	4.3	7.4	5.6	7.3	100.0	100.0	100.0	100.0	100.0	

Source: NSO and RBI staff calculations.

Source: Annual Report 2018-19, Reserve Bank of India

India's services sector Gross Value Added (GVA) increased at a CAGR of 11.43% to Rs. 101.47 trillion (US\$ 1,439.48 billion) in FY20, from Rs. 68.81 trillion (US\$ 1,005.30 billion) in FY16. Between FY16 and FY20, financial, real estate and professional services augmented at a CAGR of 11.68% (in Rs. terms), while trade, hotels, transport, communication and services related to broadcasting rose at a CAGR of 10.98% (in Rs. terms).

The services sector accounts for more than 50 per cent of the Gross State Value Added (GSVA) in 12 out of the 33 states and UTs (Table 1.5).

Chandigarh stands out with a particularly high share of services in GSVA at 73.47 per cent while Sikkim's share remains the lowest at 21.82 per cent. Notably, Services share in Sikkim's GSVA has increased from over 18 per cent in 2018-19 to over 21 per cent in 2019-20. Similarly, over the last two years, share of services in GSVA has increased by over 2 per cent for Himachal Pradesh and Odisha.

Table 1.5: Services Sector Performance at the State and UT Level

State	Services share in GVA (%)		Growth in services GV	
	2018-19	2019-20	2018-19	2019-20
A and N Islands	64.09	64.82	5.05	5.66
Andhra Pradesh	42.25	41.86	8.24	6.20
Arunachal Pradesh	47.84	46.82	-1.19	12.22
Assam	39.20	42.37	-1.64	8.08
Bihar	54.78	56.20	13.94	7.30
Chandigarh	73.47	74.00	2.66	5.50
Chhattisgarh	30.02	30.64	8.32	7.71
Delhi	67.84	68.22	6.20	7.30
Goa	26.54	28.69	2.15	6.43
Gujarat	25.18	25.73	11.03	8.01
Haryana	40.74	41.98	7.36	9.02
Himachal Pradesh	30.68	32.62	5.68	7.75
Jammu and Kashmir	53.39	54.66	10.58	3.04
Jharkhand	34.50	37.28	9.51	8.23
Karnataka	52.83	54.83	8.72	6.73
Kerala	52.24	53.29	7.78	4.09
Madhya Pradesh	33.30	32.94	9.96	8.70
Maharashtra	45.19	47.10	7.24	8.29
Manipur	60.31	59.77	6.62	5.53
Meghalaya	56.55	58.33	10.89	8.19
Mizoram	49.61	50.82	6.63	16.49
Nagaland	57.56	57.45	8.59	7.92
Odisha	30.27	32.70	2.24	8.43
Puducherry	33.91	34.57	6.68	7.95
Punjab	40.43	42.34	6.95	5.60
Rajasthan	43.43	44.01	11.18	4.43
Sikkim	18.20	21.82	11.54	20.92
Tamil Nadu	40.80	41.21	5.65	5.40
Telangana	53.89	54.90	7.91	5.69
Tripura	45.45	45.87	8.98	13.78
Uttar Pradesh	40.77	42.32	7.64	7.72
Uttarakhand	27.99	28.58	6.41	6.03
West Bengal	46.15	47.81	5.87	7.74

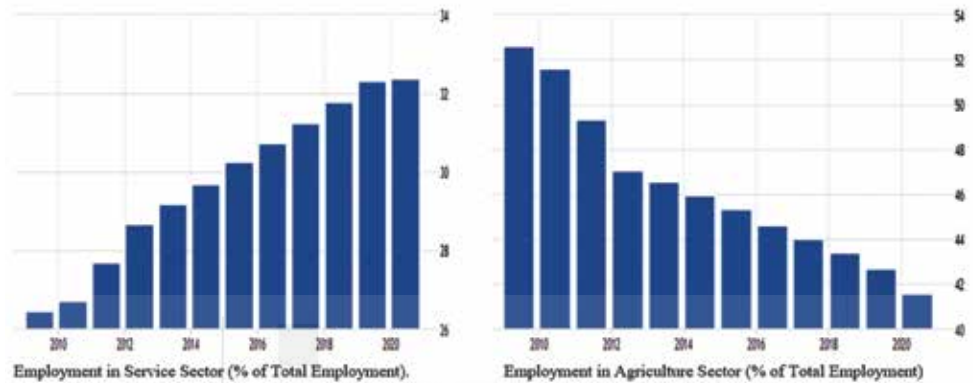
Source: Handbook of Statistics on Indian States, RBI.

1.5.1 Employment in Service Sector

Figure 1.4 shows clearly that over time, employment is rising in the service sector while falling in the agricultural sector. In 2020, about 33 percent of all jobs were in the service industry, up from just over 26 percent in 2010. Less than 42% of workers were employed in the agriculture sector in 2020, down from more than 52% in 2010. However, compared to other countries' experiences, India's employment share of services (33%) is

significantly lower than its GVA share of services (54%). The fact that the service sector has not been able to generate enough jobs relative to its size shows that its recent expansion, particularly in the formal sector, hasn't been successful in creating enough employment. This suggests that, compared to other countries, the services sector has a very high potential to generate employment in the coming years.

Figure 1.4 Employment in Service Sector and Agriculture Sector (% of Total Employment)



Source: World Bank Development Indicators

1.5.2 FDI Inflows Into Services Sector

The largest receiver of FDI inflows in India is the services sector. India moved up four spots from ninth place in 2019 to claim the fifth-largest share of foreign direct investment (FDI) in 2020, according to the UN Conference on Trade and Development's (UNCTAD) World Investment Report 2021. India received the largest annual FDI inflows of US\$ 81.97 billion in 2020–21. Inflows of foreign direct investment into the country were US\$43.12 billion in the first half of 2021–22. During the period of April through September 2021, FDI equity inflows, which are calculated as FDI inflows less reinvested earnings, totalled US\$ 31.15 billion, an increase of 3.8% from the same time last year.

Table 1.6 exhibits that services sector received US\$ 16.73 billion in FDI equity inflows during 2021–22 (April to September). Compared to the FDI equity inflows into services over the same period previous year, this is down more than 29%. The subsector of Computer Software & Hardware was responsible for this decline. The “Computer Software & Hardware” sub-sector saw FDI equity inflows of US\$17.55 billion in first half of 2020–21. It has decreased by \$10 billion to US\$ 7.12 billion in the first half of 2021–2022. However, this still represents an increase of 77% above the FDI equity inflows into this sub-sector during first half of 2019–20. As contrast to this,

the subsectors of “Financial, Business, Outsourcing, R&D, Courier, Tech Testing & Analysis” and “Education” saw significant inflows of US\$ 3.16 billion and US\$ 2.25 billion, respectively, from April to September 2021. Nearly 50% of all FDI equity inflows into India during this time period were directed to the services sector.

Table 1.6: Gross FDI Equity Inflows into Services Sector

Services Sub-Sectors	Share in Gross FDI Equity Inflows into Services Sector in 2021-22 (per cent)*	(US\$ Million)					
		2018-19	2019-20	2020-21	April-Sep 2019	April-Sep 2020	April-Sep 2021
Financial, Business, Outsourcing, R&D, Courier, Tech Testing & Analysis	18.84	9,158	7,854	5,060	4,455	2,252	3,152
Computer Software & Hardware	42.59	6,415	7,673	26,145	4,025	17,554	7,124
Trading	12.27	4,462	4,574	2,608	2,143	949	2,052
Telecommunications	2.25	2,668	4,445	392	4,280	7	376
Information & Broadcasting	0.54	1,252	823	314	196	161	91
Hotel & Tourism	2.21	1,076	2,938	369	859	283	370
Hospitals & Diagnostic Centers	1.97	1,045	635	501	376	163	329
Education	13.44	777	3,245	1,250	216	604	2,248
Retail Trading	1.38	443	472	1,338	243	1,230	231
Consultancy Services	0.91	411	1,047	938	473	110	153
Sea Transport	2.22	279	199	294	173	144	372
Air Transport	1.14	191	918	204	114	97	190
Agriculture Services	0.25	88	46	124	23	60	42
Gross FDI Equity Inflows into Services Sector (US\$ million)		28,265	34,868	39,539	17,577	23,612	16,727
Change from Previous Year (per cent)		-2.4	23.4	13.4	33.1	34.3	-29.2
Gross FDI Equity Inflows into India (US\$ million)		44,366	49,977	59,636	26,096	30,004	31,153
Share of Services Sector in Gross FDI Equity Inflows (per cent)		63.7	69.8	66.3	67.4	76.7	53.7

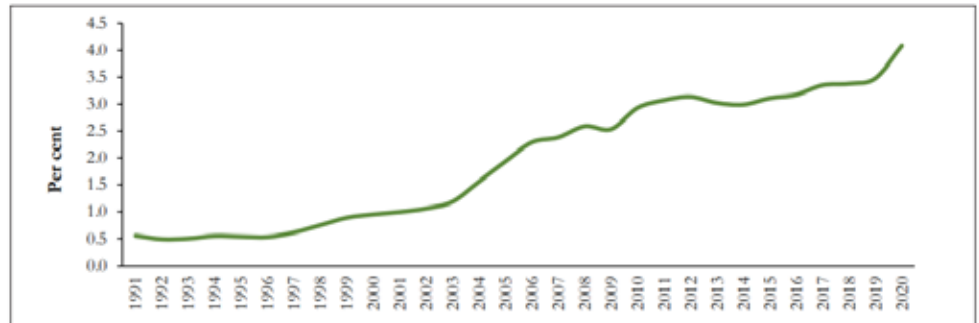
Source: Department for Promotion of Industry and Internal Trade (DPIIT).

*: Up to September 2021

1.5.3 Services Export

India is one of the world's leading exporter of services (Figure 1.5). With an increase in its percentage of global commercial services exports from 3.4% to 4.1%, it remained one of the top ten service exporting nations in 2020.

Figure 1.5: India's share in World Commercial Service Exports



Source: World Bank Note: (Commercial service exports are total service exports minus exports of government services not included elsewhere. International transactions in services are defined by the IMF's Balance of Payments Manual (1993) as the economic output of intangible commodities that may be produced, transferred, and consumed at the same time.)

1.6 AN OVERVIEW OF SPECIFIC SERVICE SECTORS

The fact that the service sector now accounts for more than half the GDP probably marks a watershed in the evolution of the Indian economy. India's high capabilities in Information Technology, and its booming IT software exports are well known. India's health services, manned by highly qualified and experienced personnel, super-specialty hospitals specializing in both modern and traditional Indian medical systems like Ayurveda, Unani, and nature-cure supported by state-of-the-art equipment, are attracting patients from across the world, and constitute a significant segment of India's services sector.

Education is another field which is not only a huge segment of the services sector within the country, but also a foreign exchange earner by way of NRIs and foreign students enrolled in major medical, technological and other institutions in India, and also export of manpower even to the western world.

The entertainment industry, particularly films and TV, which happen to be among the fastest growing in the world. Indian films are popular across West Asia, Afghanistan, Central Asia, Russia and in South East Asia and are now penetrating the Western world.

India, the second largest scientific and technical manpower in the world, has been providing varied consultancy and other services to the world. There is immense scope for India to undertake project and management consultancy, repair and maintenance work pre-publishing services, and R&D in various disciplines, and interested parties from across the world are welcome to tap these and other capabilities available in abundance in the country.

The tourism industry in the country is well equipped, and also fast growing to offer tourists with diverse interests and means, all the services needed to make their visit memorable. India, as a subcontinent with varied geographical, climatic, ethnic, cultural, religious and social strands intertwined, India is a one-stop destination for any tourist wanting a kaleidoscopic experience of life in its entirety. Tourism sector is a major contributor to GDP growth, foreign exchange earnings and employment.

1.6.1 IT BPM Services

One of India's largest service sectors is the Information Technology-Business Process Management (IT-BPM) industry. According to NASSCOM's provisional estimates, IT-BPM revenues (excluding e-commerce) reached US\$ 194 billion in 2020–21, increasing by 2.26 percent year over year and hiring 1.38 lakh additional employees.

The major share (> 51%) of the IT-BPM sector is made up of IT services. Over the past several years, its proportion has remained relatively stable. The IT-BPM sector's overall revenue increased by 2.1% in 2020–21 (excluding hardware and e-commerce) (YoY). Exports account for a considerable amount of this revenue. Export revenue increased by 1.93 percent to reach US\$ 149.1 billion in 2020–21. (Table 1.7).

Table 1.7: Exports and Domestic Market Size of Indian IT-BPM Industry (excluding hardware & e-commerce)

Year	Revenue (US\$ billion)			Percentage growth (YoY)		
	Domestic	Exports	Total	Domestic	Exports	Total
2016-17	23.8	116.1	139.9	10.45	7.64	8.11
2017-18	26.3	125.1	151.4	10.44	7.77	8.22
2018-19	26.3	135.5	161.8	-0.27	8.34	6.84
2019-20	28.0	146.3	174.3	6.70	7.93	7.73
2020-21E	28.9	149.1	177.9	3.01	1.93	2.11

Source: NASSCOM. (Note: E: Estimate.)

In 2020–21, the IT-BPM sector exported US\$ 149.1 billion in goods and services (excluding hardware and e-commerce), and BFSI was accounted for US\$ 61.4 billion of that total, or more than 41% of the exports. Contributions from high-tech/telecom and manufacturing services totaled \$26.3 billion and \$24.3 billion, respectively, for shares of 17.65 and 16.28%. Export revenues increased somewhat in each of the three subsectors in 2020–21 year over year, with BFSI expanding by 3%, Hi-tech/Telecom services by 2%, and Manufacturing services by 1%.

Several policy efforts have been implemented during the past years to promote innovation and technology adoption in the industry, including the relaxation of Other Service Provider rules, Telecom Sector Reforms, and Consumer Protection (e-commerce) Rules, 2020. This would greatly boost the sector's access to talent, stimulate the creation of more jobs, and propel it to the next stage of development and innovation.

1.6.2 Telecommunication Services

Telecommunication sector has witnessed a total transformation throughout the world in the last two decades due to rapid technological advances. Today,

an advanced telecom system is a necessity for a nation's manufacturing as well as service industries. With numerous new services/applications including digital payments, Aadhar, e-governance, e-commerce, e-health, e-education, and e-trade, the telecom sector has emerged as a major enabler of Digital India. These applications, along with many other crucial service industries like banking, health, and education, which support the nation's overall economic growth, are made possible by telecom services. With the increased availability of smartphones at much more affordable prices, the mobile phone has evolved beyond a simple communication tool, and services are increasingly linked through mobile, the Internet, and other digital modes of delivery.

At the end of the financial year 2020-21 the overall telecom subscriber base reached 1201.20 million in comparison to the subscriber base of 1177.97 million as on 31 March, 2020 registering an increase of 23.23 million subscribers during the financial year 2020-21. The overall subscriber base and tele-density is depicted in Table 1.8.

Table-1.8: Overall Subscriber base and Tele-density

Particulars	Wireless	Wireline	Total (Wireless+Wireline)
Total Subscribers (million)	1180.96	20.24	1201.20
Urban Subscribers (million)	645.20	18.57	663.77
Rural Subscribers (million)	535.75	1.67	537.42
Overall Tele-density	86.68%	1.49%	88.17%
Urban Tele-density	137.08%	3.95%	141.03%
Rural Tele-density	60.08%	0.19%	60.27%
Share of Urban Subscribers	54.63%	91.76%	55.26%
Share of Rural Subscribers	45.37%	8.24%	44.74%
No. of Internet Subscribers (Million)	799.30	25.99	825.30
No. of Broadband Subscribers (Million)	755.35	22.75	778.09

Source: https://www.trai.gov.in/sites/default/files/Annual_Report_06042022_0.pdf

The details of Internet and Broadband subscribers as reported by the service providers in the country as on 31 March, 2021 are indicated in Table 1.9.

Table 1.9: Internet Subscribers

Segment			Category	Internet Subscribers		% Growth
				March, 2020	March, 2021	
A.	Wired		Broadband	19.176	22.749	18.64%
			Narrowband	3.241	3.246	0.17%
			Total	22.416	25.995	15.97%
B.	Wireless	Fixed Wireless (Wi-Fi, Wi-Max, Radio & VSAT)	Broadband	0.602	0.671	11.46%
			Narrowband	0.006	0.006	-5.11%
			Total	0.608	0.677	11.30%
		Mobile Wireless (Phone + Dongle)	Broadband	667.659	754.674	13.03%
			Narrowband	52.507	43.955	-16.29%
			Total	720.166	798.629	10.90%
Total Internet Subscribers			Broadband	687.438	778.095	13.19%
			Narrowband	55.753	47.207	-15.33%
			Total	743.191	825.301	11.05%

Source: https://www.trai.gov.in/sites/default/files/Annual_Report_06042022_0.pdf

1.6.3 Tourism

The tourism industry is a significant driver of economic growth and makes a considerable contribution to GDP, foreign exchange revenues, and employment.

Along with public-private initiatives in the tourism sector, the government has implemented a number of policy initiatives and steps to promote health and medical tourism in India. India has been a popular destination for medical tourism. The Ministry of Tourism has designated Medical and Wellness Tourism, including Ayurveda, as a Niche Product in an effort to combat the issue of “seasonality,” promote India as a 365-day destination, and draw visitors with specific interests.

In order to improve the infrastructure for pilgrimage at a few key pilgrimage places, the Ministry of Tourism established the “National Mission on Pilgrimage Rejuvenation and Spiritual, Heritage Augmentation Drive” (PRASHAD) in January 2015. The mission initially selected 41 places for development spread over 25 states.

The Ministry of Tourism has designated 15 theme circuits for development under the Swadesh Darshan Scheme, including the Himalayan Circuit, North East Circuit, Krishna Circuit, Buddhist Circuit, Coastal Circuit, Desert Circuit, Tribal Circuit, Eco Circuit, Wildlife Circuit, Rural Circuit, Spiritual Circuit, Ramayana Circuit, Heritage Circuit, Tirthankar Circuit, and Sufi Circuit. These circuits include all of the nation’s religious, spiritual, cultural, natural, and tribal landmarks. According to the plan, the Ministry is creating these theme circuits based on the integrated concepts of high tourism value, competitiveness, and sustainability with the aim of enhancing the tourist experience and employment prospects.

1.6.4 Financial Services

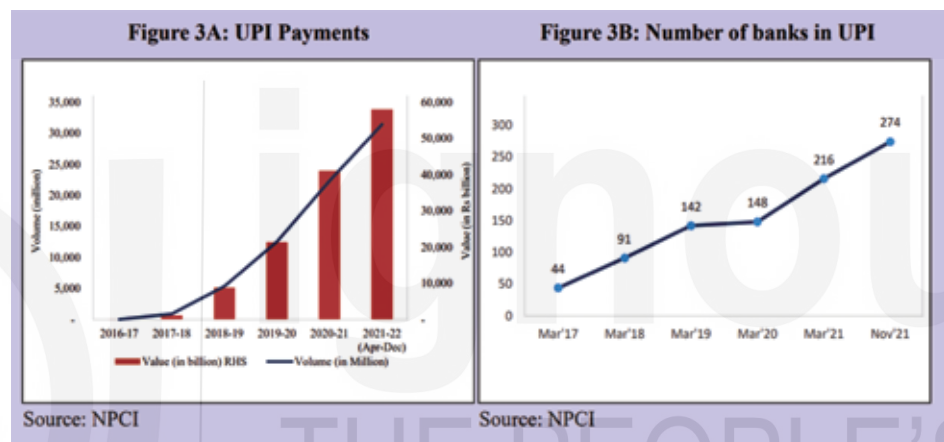
Financial services are well-known for promoting and sustaining economic growth. Financial services include everything from payments and digital banking to insurance and money management. Financial services have a wide range of stakeholders and active players, including credit and debit card issuers and processors, traditional banks, and competitors. With the opening of the banking sector to foreign competition and the liberalized regulatory norms followed by the RBI, the banks have been using technological advances in every sphere of banking to increase their performance levels. With an emphasis on retail finance and growing use of new technologies, Indian banks have repositioned themselves as universal finance solution providers with capabilities ranging from investment banking to project financing and export financing on the corporate side, and from providing loans to selling insurance and mutual funds on the retail side. Financial institutions and start-ups are improving their technology and extending remote services as financial activity becomes more computerised, particularly as individuals choose to manage their finances from home.

The last few years have seen significant increase in financial transactions, and there are now many options for making digital payments that are expanding over time. According to transaction volume, Unified Payments Interface (UPI) is currently the leading retail payment system in the nation,

demonstrating its widespread acceptability (Figure 1.6 & 1.7). UPI processed 4.6 billion transactions totaling \$8.26 lakh crore in December 2021. UPI's original goal was to replace cash from low value transactions. 50% of UPI transactions, according to the NPCI's detailed transaction statistics, were for less than 200 rupees. The SEBI established "UPI as a payment option in IPO" on November 1st as a new payment channel for retail investors. UPI handled over 24.26 million One Time Mandate Create Transactions worth ₹ 44,381 crore between April and November 2021. The transaction cap for these types of transactions, which the RBI raised from ₹1 lakh to ₹2 lakh in March 2020, was then raised again to ₹5 lakh in December 2021. Bhutan was the first nation to implement UPI standards for its QR code very recently. In terms of BHIM-UPI acceptance at merchant locations, it is the second nation behind Singapore.

Figure 1.6: UPI Payments

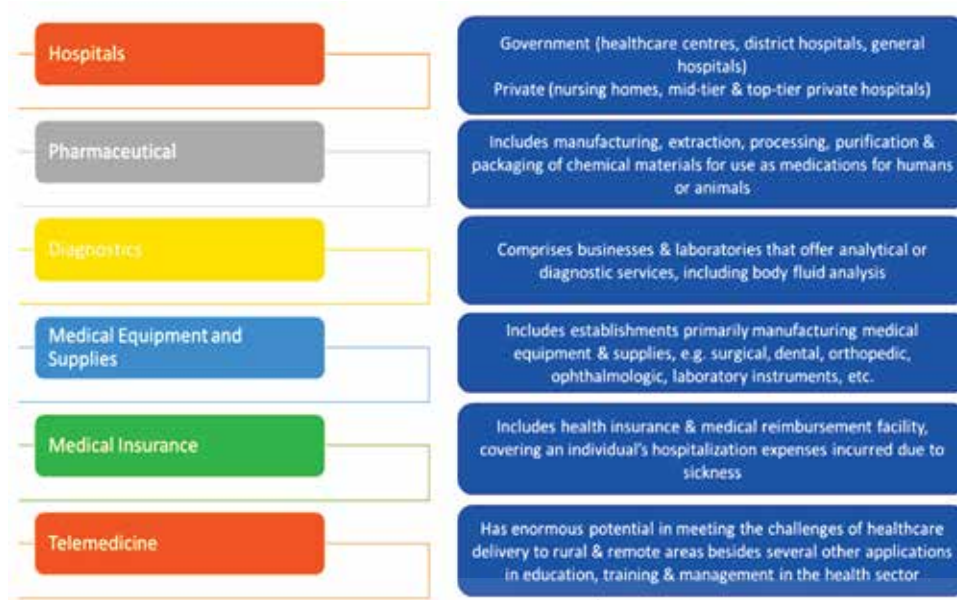
Figure 1.7: Number of banks in UPI



1.6.5 Healthcare Services

Healthcare has become one of the largest sectors of the Indian economy, in terms of both revenue and employment. It has been growing at a CAGR of 22% since 2016, employing 4.7 million people directly. The sector has the potential to generate 2.7 million additional jobs in India between 2017-22 -- over 500,000 new jobs per year.

India's healthcare industry comprises hospitals, medical devices and equipment, health insurance, clinical trials, telemedicine and medical tourism. Major Segments in India's Healthcare Sector is shown in Figure 1.8.

Figure 1.8: Major Segments in India's Healthcare Sector

Source: Healthcare. India Brand Equity Foundation. Retrieved December 15, 2020 from [https://www.ibef.org/download/Healthcare July-2019. pdf](https://www.ibef.org/download/Healthcare%20July-2019.pdf).

The country's relative cost competitiveness and availability of skilled labour are also making it an increasingly favoured destination for Medical Value Travel.

The Indian Government has undertaken deep structural and sustained reforms to strengthen the healthcare sector and has also announced conducive policies for encouraging FDI. Currently, FDI is permitted up to 100% under the automatic route (i.e., the non-resident investor or Indian company does not require approval from the Government of India for the investment) in the hospital sector and in the manufacture of medical devices. In the pharmaceutical sector, FDI is permitted up to 100% in greenfield projects and 74% in brownfield projects under the automatic route. FDI in India's Health Sector is shown in table 1.10.

Table 1.10: FDI in India's Health Sector (2000-2020)

Health-related FDI (USD Million)	25,357
Drugs & Pharmaceuticals	16,501
Hospital & Diagnostic Centres	6,727
Medical & Surgical Appliances	2,130

Source: Note on Health and Pharmaceutical Sector. Invest India.

The Aatmanirbhar Bharat Abhiyaan packages include several short-term and longer-term measures for the health system, including Production-Linked Incentive (PLI) schemes for boosting domestic manufacturing of pharmaceuticals and medical devices. Additionally, India is working towards becoming a hub for spiritual and wellness tourism, as the country has much to offer in Ayurveda and Yoga.

Ayushman Bharat, the government's flagship initiative, for instance, marks a significant shift in focus from the implementation of vertical health programmes by aiming to enhance the health system comprehensively from primary level to tertiary care. Through a network of Health and Wellness Centers (HWCs), its first dimension is to create the primary healthcare system of the future. This is important given India's rising non-communicable disease (NCD) burden because it would allow for the early detection of diseases and the promotion of good health. In India, there were 60,520 HWCs in use as of February 23, 2021. The Pradhan Mantri Jan Arogya Yojana (PM-JAY), the other pillar of Ayushman Bharat, has started the shift toward demand-side financing and strategic purchasing. Expanding PM-JAY and putting more effort into enhancing health insurance coverage in general would eventually lead to the creation of new jobs because doing so necessitates assisting with the capacity building of both purchasers (health insurance agencies) and healthcare providers.

Long-term changes in attitudes toward personal hygiene, health insurance, physical fitness, diet, and regular medical check-ups are anticipated to be spurred by COVID-19. The pandemic has also sped up the introduction of telemedicine and other digital technologies.

1.6.6 Ports, Shipping and Waterways Services

Port development is essential for the economy. In India, ports handle about 90% of export-import cargo by volume and 70% by value. As of March 2021, all of the ports' combined cargo capacity was 1,246.86 million tonnes per annum (MTPA), up from 1,052.23 MTPA in March 2014.

The Ministry of Ports, Shipping, and Waterways' flagship initiative, the Sagarmala programme, aims to encourage port-led growth in India by utilising its 7,500 km of coastline, 14,500 km of potentially navigable waterways, and its strategic location on important maritime trade routes. The Sagarmala program's main goal is to lower the cost of logistics for international, local, and intrastate trade. At present, the Sagarmala Programme consists of 802 projects for a total of Rs. 5.53 lakh crore. Among these, 181 projects totaling Rs. 94,712 crore have been finished, and 398 projects totaling Rs. 2.48 lakh crore are in various stages of completion.

1.6.7 Space Sector

The Indian space programme has expanded significantly since its inception in the 1960s. Capabilities have been established in the space industry across all sectors, under the Department of Space's (DOS) supervision and principally carried out by its R&D arm, the Indian Space Research Organization (ISRO). Included in this are homegrown space transportation systems, space assets like a satellite fleet used for earth observation, satellite communication, meteorology, and space science and navigation, terrestrial infrastructure, and a variety of operational projects aimed at putting space technology to use for social benefit.

From being predominantly a government-driven industry, the space sector has seen an increase in private sector involvement, both in the conventional vendor capacity and in end-to-end space operations. In 2020, the government implemented reforms in the space sector that call for the private sector to participate in space exploration and the provision of space-based services.

As part of these reforms, the Public Sector Undertaking (PSU) in this sector, New Space India Limited (NSIL), was given the authority to “own” the operational launch vehicles and space assets of ISRO. Additionally, the current supply-based paradigm was switched to a demand-driven model, in which NSIL will act as an aggregate of user requirements and secure agreements. Tata Sky recently signed an MoU with NSIL for the purpose of using the capacity on board the future communication satellite GSAT-24, which will be constructed by ISRO and launched by Arianespace, as the first result in this respect.

In order to promote and oversee space operations in India by NGPEs (non-government/private entities), the Indian National Space Promotion and Authorization Center (IN-SPACe) was founded. Additionally, it enables the private sector to use costly DOS-owned facilities at a fair price. In a little more than a year since the agency was launched, the interim IN-SPACe board has received close to 40 proposals from large enterprises, MSMEs, start-ups, and academia. These proposals encompass a wide range of space-related operations, including both upstream (producing satellites and launch vehicles) and downstream (research and development) activities (Earth Observation applications, communications, etc.).

The Indian space sector is anticipated to take a larger share of the global space economy, which was close to US\$ 447 billion in 2020, due to these recently undertaken regulatory efforts and private sector participations. India currently only makes up approximately 2% of the space economy, well behind the major players, the United States and China.

1.6.8 Start-ups

Over the past years, the number of start-ups in India has increased significantly; the services sector accounts for the majority of these. Over 14,000 new start-ups were recognised by the government in 2021, compared to just 733 in 2016–17. As a result, as of January 10, 2022, India had recognised more than 61,400 start-ups. In 2021, a record number of start-ups from India (44) achieved unicorn status. It passed the UK to become the third-highest country in terms of unicorn population, behind the United States and China, which added 487 and 301 unicorns, respectively, in 2021. India had 83 unicorns valued at a total of \$277.77 billion as of January 14, 2022.

Activity 4

Discuss about your experiences using UPI and other mobile payment apps, as well as other digital payment options.

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1.7 SUMMARY

The term “service” is rather general in concept and includes a wide variety of services. Services are essentially performance. The service sector has grown substantially in all the developed economies as well as in India. The

reasons for growth in service industries include increasing affluence, more leisure time, greater life expectancy, increasing complexity of life, etc. In accordance with the global trend, India's services industry is expanding significantly and accounts for more than half of the country's GDP. The largest receiver of FDI inflows in India is the services sector. The service sector has contributed significantly to exports and provided widespread employment. However, compared to other countries' experiences, India's employment share of services (33 per cent) is significantly lower than its GVA share of services (54 per cent). This suggests that, compared to other countries, the services sector has a very high potential to generate employment in the coming years. The unit also gave you brief overview of IT BPM Services, tourism, financial services, telecommunication services, healthcare services, ports, shipping and waterways services, the space sector, and start-ups in services.

1.8 KEYWORDS

Services: are those separately identifiable, essentially intangible activities which provide want-satisfaction, and are not necessarily tied to the sale of a product or another service.

Financial services: include everything from payments and digital banking to insurance and money management.

Healthcare industry: comprises hospitals, medical devices and equipment, health insurance, clinical trials, telemedicine and medical tourism.

1.9 SELF- ASSESSMENT QUESTIONS

1. What do you understand by the term 'service'? Describe the reasons behind the rapid growth of service sector.
2. How do services differ from products? Explain the differences.
3. Explain the trends in global trade in services
4. Discuss the role of the services sector in the growth of Indian economies.
5. Select any three major service sectors in India and explain their growth trends.

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UNIT 2 CONCEPTUAL FRAMEWORK FOR SERVICES MARKETING

Learning Outcomes

After studying this unit, you should be able to:

- explain the characteristics of services and their marketing implications
- assess the ways in which services are classified
- analyse the services marketing mix.
- apply the strategic function of service marketing triangle framework
- appreciate the profound impact of technology on service.

Structure

- 2.1 Introduction
- 2.2 Characteristics of Services
- 2.3 Service Classifications
- 2.4 The Services Marketing Mix
- 2.5 The Services Marketing Triangle
- 2.6 Service and Technology
- 2.7 Summary
- 2.8 Keywords
- 2.9 Self- Assessment Questions
- 2.10 Further Readings and References

2.1 INTRODUCTION

We introduced the concept of a service and the dominance of the service sector in global economies in unit 1 of the course. As a result of the growth of the service sector, challenges affecting industries in this sector globally have received increased attention. A service business is one in which the buyer's perception of the value of the offering is mostly based on the services rendered to him rather than the products made available. We tend to think about the marketing of services in a more limited way when we use a framework designed for the marketing of tangible goods. A service, however, cannot be owned because it is not a physical object. The only thing we take home after paying for a hotel room is the experience of the night we spent there. When we fly, an aeroplane transports us; we do not own it. Shostack, G.L., observed, "It is wrong to imply that services are just like products 'except' for intangibility." By such logic, apples are just like oranges, except for their "apple-ness." "Services are different, so services marketing is different."

Over time, it became apparent that service marketing requires a unique marketing strategy because services and goods are very distinct from one another. In this unit, we will discuss the distinctive characteristics of services and develop a conceptual framework for understanding the marketing of services.

2.2 CHARACTERISTICS OF SERVICES

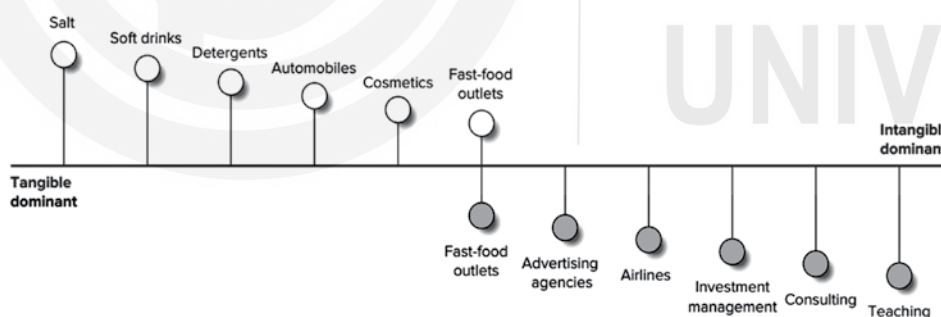
Services have a number of unique characteristics that make them so different from products. Some of the most commonly accepted characteristics are:

- a) Intangibility
- b) Inseparability
- c) Heterogeneity
- d) Perishability
- e) Ownership

Intangibility

When you buy a cake of soap, you can see, feel, touch, smell and use it to check its effectiveness in cleaning. But when you pay fees for a term in college, you are paying for the benefit of deriving knowledge and education which is delivered to you by teachers. In contrast to the soap where you can immediately check its benefits, there is no way you can do so in case of the teachers who are providing you the benefits. Teaching is an intangible service. When you travel by an aeroplane, the benefit which you are deriving is a service (transaction) but it has some tangible aspects such as the particular plane in which you fly (and the food and drink which is served). In this case the service has both a tangible and intangible aspect as compared to teaching which has hardly any tangible aspect. Figure 2.1 presents the tangible-intangible dominant aspect on a goods-service continuum. This continuum highlights the fact that most services are in reality a combination of products and services having both tangible and intangible aspects. There are only a few truly pure tangible products or pure intangible services.

Figure 2.1: Goods Services Continuum



Source: L. G. Shostack, "Breaking Free from Product Marketing," *Journal of Marketing* 41 (April, 1977), pp. 73–80, American Marketing Association.

The distinguishing feature of a service is that its intangible aspect is dominant. J. Bateson has described the intangible characteristics of services which make them distinct from products. These intangible features are:

- A service cannot be touched
- Precise standardisation is not possible
- There is no ownership transfer
- Production and consumption are inseparable

- There are no inventories of the service
- The consumer is part of the production process so the delivery system must go to the market or the customer must come to the delivery system.

Inseparability

In most cases a service cannot be separated from the person or firm providing it. A service is provided by a person who possesses a particular skill (singer), by using equipment to handle a tangible product (dry cleaning) or by allowing access to or use of physical infrastructure (hotel, train). A plumber has to be physically present to provide the service, the beautician has to be available to perform the massage. This is in direct contrast to products which can be produced in the factory today, stocked for the next two, three or more months and sold when an order is procured.

Heterogeneity

The human element is very much involved in providing and rendering services and this makes standardisation a very difficult task to achieve. The doctor who gave you his complete attention in your last visit may behave a little differently the next time. The new bank clerk who cashed your cheques may not be as efficient as the previous one and you have to spend more time for the same activity. This is despite the fact that rules and procedures have been laid down to reduce the role of the human element and ensure maximum efficiency.

Airlines, restaurants, banks, hotels have large number of standardised procedures. You have to reserve a room in a hotel and this is a straight forward procedure for which all the steps are clearly defined. Human contact is minimal in the computerised reservation systems, but when you go to the hotel there will be a person at the reception to hand over the key of your room. The way this person interacts with you will be an important factor in your overall assessment of the service provided by the hotel. The rooms, the food, the facilities may be all perfect, but it is the people interacting with you who make all the difference between a favourable and unfavourable perception of the hotel.

Perishability

Services cannot be stored and are perishable. A car mechanic who has no cars to repair today, spare berths on a train, or unsold seats in a cinema hall represent a service capacity which is lost forever. Apart from the fact that a service not fully utilised represents a total loss, the other dimension of this perishability aspect is that most services may face a fluctuating demand. There is a peak demand time for buses in the morning and evening (office hours). Certain train routes are always more heavily booked than others. This fluctuating demand pattern aggravates the perishability characteristic of services.

Ownership

When you buy a product you become its owner-be it a pencil, book, shirt, refrigerator or car. In the case of a service, you may pay for its use but you never own it. By buying a ticket you can see the evening film show in the local cinema theater; by paying wages you can hire the services of a chauffeur who will drive your car; by paying the required charges you can

have a marketing research firm survey into the reasons for your product's poor sales performance, etc. In case of a service, the payment is not for purchase, but only for the use or access to or for hire of items or facilities.

A service is purchased for the benefits it provides. If we closely examine the reasons why products are purchased, we find that they are bought because they provide certain intangible benefits and satisfactions. Detergent powder provides the primary benefit of cleanliness, air-conditioners provide the benefit of a cool, comfortable environment, a mixer-cum-grinder provides convenience. The only difference between products and services is that in the latter, the intangible component is greater than in the former. Thus, services can be treated as a special kind of product.

From a marketing view-point, the same concepts and techniques are applicable for both products and services. The successful marketing of both requires market research, product design, product planning and development, pricing, promotion and distribution. However, for marketing services, the marketing manager must understand the nature of the five characteristics of services and the manner in which they impinge on the marketing strategy.

Table 2.1 describes the implications of characteristics of services and how the marketing strategy can be focused to overcome these constraints. Besides the constraints highlighted in Table 2.1 are some other factors which have inhibited the active marketing of services. Professionals such as doctors and lawyers have traditionally been opposed to the idea of marketing, rather they have relied on the word of mouth of satisfied customers for increasing their clientele.

Table: 2.1: Implication of service characteristics and ways of overcoming them

Service characteristics	Implications	Means of overcoming characteristics
Intangibility	Sampling difficult. Difficult to judge quality and value in advance. Not possible to patent or have copyright. Relatively difficult to promote	Focus on benefits. Use brand names. Personalise service. Develop reputation. Increase tangibility (e.g., its physical representation)
Inseparability	Requires presence of performer/producer. Direct sale. Limited scale of operations. Geographically limited market	Learn to work in larger groups. Work faster. Train more service performers.
Heterogeneity	Difficult to standardise quality.	Careful selection and training of personnel. Define behaviour norms. Reduce role of human element. Mechanise and automate maximum possible operations.

Perishability	Cannot be stored. Problem of demand fluctuation	Better match between supply and demand by price reduction in low demand season
Ownership	Customer has access to but not ownership of facility or activity.	Stress advantages of non-ownership such as easier payment scheme.

Source: Cowell, Donald, 'The Marketing of Services'. Heinemann, London.

The small size of many service organisations such as beauty parlours, repair shops, barber shops etc. also limits the use of marketing techniques which can be successfully used in larger organisations and then there is the case of service organisations such as schools, hospitals and, universities which enjoy more demand than they can cope with. Therefore, these organisations have never felt the need to promote their services in an active manner in the past. However, due to increased competition, an increase in the number of service facilities, and an increasing number of private institutions participating in the education and healthcare sectors, these sectors are promoted heavily.

Activity 1

Looking at inseparability of the service and its producer as a major characteristic that distinguishes products and services, you can imagine the implications for marketing the services of consultants, musicians, stage performers and advertising creatives. Talk to some of these people or organisations to find out in what ways have they tried to overcome the marketing implications of inseparability.

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2.3 SERVICE CLASSIFICATIONS

A larger number of classification schemes for services have been developed to provide strategic insights in managing them. Utilizing different bases, these schemes allow us to understand the nature of the service act, the relationship between service organisation and its customers, the nature of service demand and the attributes of a service product. Let us discuss the schemes briefly.

2.3.1 The Nature of the Service Act

Using two dimensions of tangibility of the service act and to whom services are directed at. Lovelock has classified services according to whether services are directed at people or possessions, at minds, physical possessions or assets. Table 2.2 will help you understand this classification scheme.

Table 2.2: Four Broad Classification of Services

Nature of the Service Act	Services Directed At	
	People	Possessions
Tangible Actions	Services directed at people's bodies Health care Salons Restaurant Passenger Transportation	Services directed at goods, physical possessions Freight transportations Laundry and Dry cleaning Lawn care
Intangible Actions	Service directed at People's minds Broadcasting Education Information Museums	Services directed at intangible assets Accounting Banking Insurance Legal services

Source: Adapted from Lovelock, and Wirtz (2022), Services marketing: people, technology, strategy, Ninth edition.

2.3.2 Relationship between Service Organisation and Customers

In the service sector both institutional and individual customers may enter into continuing relationships with service providers and opt for receiving services continually. Services can therefore be classified on the basis of whether the nature of the relationship is continuous or intermittent and whether a consumer needs to get into a membership relationship with the service organisation to access and utilise the service.

Table 2.3: Services and Customer Relationships

Nature of Delivery	Type of Relationship	
	Membership	Non-membership
Continuous	Insurance Education Banking	Police protection Public highway
Discrete	Theatre seat subscrip- tion Commuter tickets	Car rental Pay telephone Restaurant

2.3.3 How the Service is delivered

Lovelock has used two issues of number of delivery sites (whether single or multiple) and the method of delivery to classify services in a 2×3 matrix. Then implications here are that the convenience of receiving the service is the lowest when the customer has to come to the service and must use a single or specific outlets. As his options multiply, the degree of convenience can go on rising, from being able to choose desirable sites, to getting access at convenient locations. (Table 2.4.)

Table 2.4 Service Delivery Modes

Service Delivery Modes		
Nature of Interaction between Customer and Organisation	Availability of outlets	
	Single site	Multiple site
Customer goes to service organisation	Theatre	Bus Service Fast Food Chain
Service organisation comes to the customer	Lawn care Pest control	Mail delivery Emergency auto repair
Customer and organisation transact at arm's length	Credit cards Local TV station	Telephone company Broadcasting

2.3.4. Proportion of Tangibility and Intangibility

Using the characteristic of intangibility of services, Shostack proposed that all goods and services can be placed on a tangibility intangibility continuum, with services clustering towards low to high intangibility. Accordingly, services can be classified as those with a low intangibility content (a fast-food restaurant) and a pure service, having very high intangibility content (Education, Consultancy, Medical advice).

2.3.5. Service Inputs

Services based on this criterion have been classified as primarily equipment based or primarily people-based service depending upon which input is primary applied to get service outputs. The equipment-based services can be further classified according to whether they are fully automated, or consist of equipment monitored by unskilled persons (lift operators, delivery van personnel) or need the presence of skilled personnel to man the equipment (quality control, diagnostics services).

2.3.6 Contact between the Consumer and the Service Provider

Services also differ in the extent of contact that needs to be maintained between the User and Provider, the marketing implication in this case being the necessity of physical presence of the provider as well as need to manage desired quality of personnel in case of high contact services. On this basis all services can be classified as high contact or low contact services, depending upon the time a user needs to spend with the service organization/provider in order to utilize/acquire the service. Examples of low contact services are telecommunications, dry cleaning and broadcasting while high contact services are education, hospitality, theatre performance.

2.3.7 Profit and Public vs Private Services

Service can also be classified on the basis of whether they are primarily directed at public at large or primarily at individuals. The public services include utilities and infrastructural services like transport and communication. They also include services provided by the state for public welfare like hospitals, educational and vocational institution, parks and museums etc. The private services on the other hand include the whole gamut of service designed for and consumed by customers as individuals

for example, restaurants, beauty care and medical advice. The implications underlined by this classification manifest themselves in issues regarding planning and design of service for public vs. private consumption. Involved here are issues of process, volume and distribution of services when they are designed as public services. Services have also been classified by Kotler, as services designed for profit and non-profit services, depending upon the marketing objectives to be pursued in the exchange of services.

Activity 2

Discuss some of your experiences with low-contact and high-contact services that have been offered to you.

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2.4 THE SERVICES MARKETING MIX

The unique characteristics of services make the traditional 4 P marketing mix seem inadequate. Careful management of these 4 Ps – Product, Price, Place and Promotion though essential, are not sufficient for successful marketing of services. Further the strategies for the four Ps require some modification while applying to services.

Since services are produced and consumed simultaneously, the contact personnel or the service delivery personnel become extremely important. It is during these encounter of service providers and customers i.e., the process – on which a lot depends with regards to the final outcome as well as the overall perception of the service by the customer. The actual physical surroundings during these encounters have also a substantial bearing on the service delivery.

All these facts lead to the development of an expanded marketing mix with three new P's added to the traditional mix (figure 2.2). These are: people, physical evidence, and process.

- **People** - All human actors who play a part in service delivery and thus influence the buyer's perceptions; namely, the firm's personnel, the customer, and other customers in the service environment
- **Physical evidence** - The environment in which the service is delivered and where the firm and customer interact, and any tangible components that facilitate performance or communication of the service.
- **Process** - The actual procedures, mechanisms and flow of activities by which the service is delivered – the service delivery and operating system

Figure 2.2: The Marketing Mix for Services



Source: Booms, B.H. and Bitner, M.J, *Marketing Strategies and Organisation Structure for Services Firms*, in Donnelly J and George W.R. (eds), *Marketing of Services*, AMA, 1981

Activity 3

Select a service provider that you are familiar with, and explain how each of the seven Ps of services marketing applies to one of its services.

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2.5 THE SERVICES MARKETING TRIANGLE

Services are produced, delivered, and consumed simultaneously, hence the nature of marketing departments and marketing functions change significantly from that of goods. The marketing functions all activities which influence the preferences of the consumers towards the offerings—is mainly handled by marketing departments in case of goods. Here as far as consumers are concerned, marketing departments (the organizational entity which is responsible for some, but not necessarily all marketing activities performed by the firm) can plan and implement most of the marketing activities i.e., the marketing department is able to control almost the total marketing function. In the service sector the situation is entirely different.

A traditional marketing department in services can only control a minor part of the marketing function. Usually, it doesn't have the necessary authority to manage the buyer/seller interaction. The marketing department, therefore, cannot plan and implement activities pertaining to interactive marketing function.

Therefore, the marketing function, which is a key function in service sector require a special treatment. The total marketing in services include three different types of marketing as shown in Figure 2.3. The service triangle is a strategic framework that shows how the company (or “management”), the consumers, and the employees (or providers) collaborate to develop, promote, and deliver services. For a service to be successful, three different

types of marketing—external marketing, interactive marketing, and internal marketing—must be successfully implemented. The firm’s external marketing initiatives, which are placed on the right side of the triangle, are used to raise customer expectations and make promises to them about what will be delivered. At the bottom of the triangle lies Interactive marketing or real-time marketing. Here is where the firm’s employees, representatives, or subcontractors fulfil or disregard their commitments. If promises are not kept, customers eventually feel dissatisfied and quit.

Figure 2.3: The Services Marketing Triangle



Internal marketing has a crucial function to play, as indicated by the triangle’s left side. Some of the measures management takes to help the service providers fulfil their commitments include hiring, training, motivating, rewarding, and providing tools and technology. The company will not succeed unless its service personnel are competent and willing to fulfil the promises made. All three sides of the triangle are equally important, and they must be aligned.

As can be seen from the triangle, the traditional marketing mix and marketing departments basically address to ‘External Marketing’ only. However, all three sides are critical to successful services marketing and the triangle cannot be supported in the absence of any one of the sides.

Activity 4

Discuss any of your experiences where the services were not provided as promised. What was your response? What would you like to suggest to the service provider to avoid such incidents in the future?

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2.6 SERVICE AND TECHNOLOGY

The service sector is changing as a result of information technology, which also has a big impact on how service marketing is conducted. Currently,

globalisation and the impact of technology are the two major trends affecting service marketing. According to Roland T. Rust and Ming-Hui Huang, “information technology is causing a “service revolution,” resulting in an expansion of the service sector and an increased importance of service in all categories of the economy.”

An insightful way to think about how technology has changed society is to acknowledge that the Internet is essentially “one huge service.” All businesses and organisations that conduct business online are inherently providing services, whether they are sharing information, providing basic customer service, facilitating transactions, or promoting interpersonal relationships.

Technology offers possibilities for new service offerings, as well as ways to deliver existing services in more user-friendly and efficient ways. Innovative business models have been created using new technologies. For example, platform-based online cab services, which use smartphones to connect customers with freelance drivers, and peer-to-peer services for hotel booking etc. Technology makes it easier to conduct transactions (both retail and business-to-business), find more information, as well as provide basic customer service (billing, order tracking, and checking account records, etc.).

Nowadays, smartphones offer a vast array of service apps. Only new technology made it feasible for services like automated voice mail, interactive voice response, real-time messaging, chatbots automated teller machines (ATMs), and others.

Artificial intelligence, big data, cloud computing, user-generated content, mobile communications, networking technologies, and increasingly app-based self-service technologies (SSTs) all contribute to a new era of services. These technologies allow businesses to deliver multi-way information flow, more individualised services, deeper customer relationships, better analytics, higher efficiency, and greater profitability. We will discuss in detail the role of technology in services in unit 14 of this course.

Activity 5

Discuss how some of the services you use have been impacted by internet and telecommunications technologies, such as mobile apps.

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2.7 SUMMARY

The unit outlines the distinctive characteristics of services that demand distinct strategies for marketing of services. Intangibility, inseparability, heterogeneity, perishability, and ownership are some of the most commonly accepted characteristics of services. The unit discussed their marketing implications and means of overcoming them. Services can be classified in different ways based on the nature of the service act, the relationship

between the service organisation and its customers, the nature of service demand, and the attributes of a service product. For the successful marketing of services, effective management of the four Ps—product, price, place, and promotion—is necessary but insufficient. This understanding led to the development of an expanded marketing mix that now includes the three additional Ps—people, physical evidence, and process. The service marketing triangle framework explains how three distinct types of marketing—interactive marketing, external marketing, and internal marketing—must be successfully implemented for a service to be successful. The unit ends with highlighting the effects of technological innovation on service marketing.

2.8 KEYWORDS

Characteristics of Services: Services have a number of unique characteristics that make them so different from products. Some of the most commonly accepted characteristics are: Intangibility, Inseparability, Heterogeneity, Perishability, Ownership

Services Marketing Mix: also known as 7 Ps- Product, Price, Place, Promotion, People, Physical evidence, and Process.

Service Triangle: is a strategic framework that shows how the company (or “management”), the consumers, and the employees (or providers) collaborate to develop, promote, and deliver services

2.9 SELF- ASSESSMENT QUESTIONS

- 1) How do services differ from products? What are the marketing implications of service characteristics?
- 2) Explain the different classification schemes for services, giving suitable examples.
- 3) Briefly discuss the expanded marketing mix for services
- 4) Discuss the service marketing triangle.
- 5) How is technology changing the nature of customer service and service offerings?

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UNIT 3 CONSUMER BEHAVIOUR IN SERVICES

Learning Outcomes

After studying this unit, you should be able to:

- relate the basic concepts of consumer behaviour to services marketing
- discuss the impact of services characteristics on services buying
- outline the stages in consumer decision making process with reference to services
- explain the factors influencing buyer behaviour for services;
- explain the significance of consumer expectation and perception for service buying decisions
- apply the implications of search credence and credence qualities for consumer decisions making process for services.
- discuss the recent developments related to consumer behaviour research in services

Structure

- 3.1 Introduction
- 3.2 Classification of Buyers
- 3.3 Service Characteristics and Implications for Service Buying Decisions
- 3.4 Consumer Decision-making Process for Services
- 3.5 Factors Influencing Consumer Decision making in Services
- 3.6 Impact of Recent Developments and Technology on Consumer Behaviour in Services
- 3.7 Summary
- 3.8 Key Words
- 3.9 Self-Assessment Questions
- 3.10 Project Question
- 3.11 Further Readings and References

3.1 INTRODUCTION

All of us buy different services for various reasons. One person may prefer to go to a restaurant for good food while the other may opt for an exclusive restaurant, for status. One person may prefer to read 'The Times of India' early in the morning, while the other may prefer to read the same newspaper after coming back from the office. There are women who don't go to beauty parlours at all, whereas there are others who go regularly, and yet others who prefer to call the service representatives at home to get such services at home, a trend which became very prevalent in the post pandemic situation, with providers like Urban Company registering tremendous growth in personal care services vertical. Similarly, there are many such examples

telling us that people show different behaviour in buying and using different products and services.

The discipline of marketing which helps in developing a deeper insight in these behavioural differences is called “Buyer Behaviour”. We have developed an appreciation that the meaning of marketing orientation is that a firm should aim all its efforts at satisfying its customers. And to keep customers satisfied it becomes essential to have a deeper knowledge regarding the behaviour of the buyer. You have covered the basic concepts of consumer behaviour in your core course MMPC-006 Marketing Management, in this course, we will build upon the concepts already covered. The links to the contents already study by you are provided to enable you to go through the materials as and when required. Since the generic description for decision-making roles, factors influencing decision making, models of consumer decision making have all covered by you, the focus in this unit will be on developing your exposure to the concepts specifically relevant to services.

3.2 CLASSIFICATION OF BUYERS

Typically, buyers can be classified into two categories: Individual and Organizational. Individual buyers are those who buy a particular service for their own or family consumption or use. For example, you may like to buy an Annual Maintenance Contract (AMC) for your personal computer installed in your house, or a household’s insurance cover for your family. The other category of buyers is called organizational buyers. The organizational buyers are those who buy services for the organizational use. For example, a government department may buy a similar AMC for the office computers. Another example can be of a hospital which may buy cleaning or security services for the hospital.

However, irrespective of the type of buyer, the buying roles remain the same, though the number of persons who play these roles may vary. In organization purchases, also called B-2-B (Business to Business) buying activity is a formalised one following a well laid out process. The concept of buying centre identified responsibilities in the purchase process is well understood in organizational buying. Because of large number of people working as influencers, generally the B-2-B purchases take longer time to minimize on perceived risks. The elements which are reviewed in the evaluation process might range from price, quality, reliability, etc. As the complexity of the service offer increases, in B-2-B purchases, the importance of confidence in service supplier increases.

Activity 1

Consider that you are buying an insurance policy for your home. At the same time since your office has moved to a new building and several new equipments and systems have been installed. You as the manager have been asked to arrange for a new policy for comprehensive coverage of the office property.

How will your buying process for the same service differ in the two cases? Clearly analyse the reason for the difference

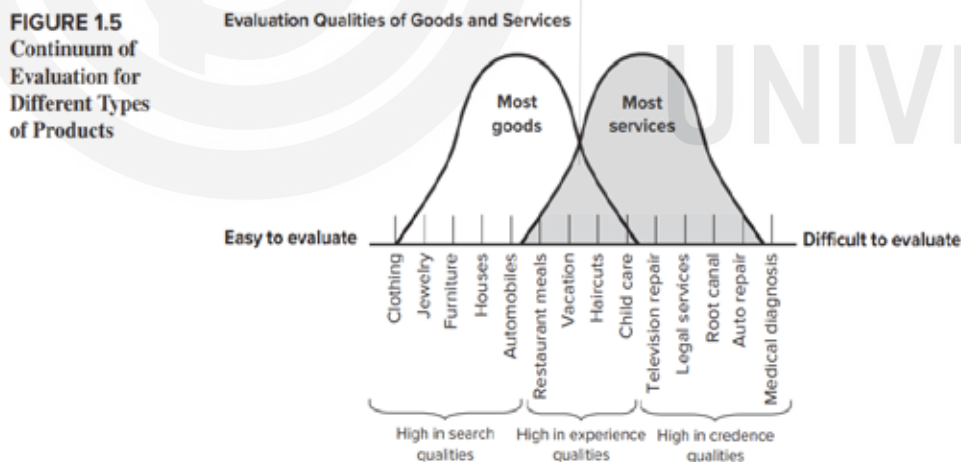
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3.3 SERVICE CHARACTERISTICS AND IMPLICATIONS FOR SERVICE BUYING DECISIONS

You have studied service characteristics and their marketing implications, in detail in the Unit 2 of this course. On account of characteristics like intangibility, heterogeneity and inseparability, several implications arise for the consumer buying behaviour. These include information search behaviour, risk perception, brand loyalty and attribution of dissatisfaction. Let us look at these implications before we explore consumer decision process for services at length.

The Intangibility continuum: One of the most significant differences between products and services is that of services being intangible. However, it is also true that very few products are purely intangible or totally tangible. Instead, services tend to be more intangible than manufactured products, and manufactured products tend to be more tangible than services. Because of this intangibility characteristic one of the most significant differences between goods and services that emerges is that in goods “Search Qualities” dominate while services are dominated by “Experience and Credence Qualities”.

Figure 3.1: Continuum of evaluation for different types of products



Source: Zeithaml and Bitner, *Services Marketing*, Tata McGraw Hill. P-23.

Search qualities are those attributes of a product which the consumer can determine before the purchase. This is more common in physical goods. For example, colour, style, fit, feel, smell etc.

The second is the experience qualities, which are the attributes which can only be determined after the purchase, or during the process of consumption. The third, is the credence qualities i.e. characteristics which the consumer

cannot evaluate even after the consumption, like auto repair or medical diagnosis. For example, it may be difficult for a patient to assess whether or not a hospital provided appropriate services. Such characteristics exist invariably in services. In nutshell, most goods are high in search qualities and most services are high in experience or credence qualities. Figure 3.1 gives a continuum of evaluation for different types of products based on search, experience and credence qualities.

As services are rich in experience and credence qualities, the following important aspects related to consumer decisions making process need to be understood.

Information Search: on account of the heterogeneity and high intangibility characteristic in the case of services, consumers rely more on personal sources of information for pre purchase evaluation. Also, they indulge in more post purchase evaluation than pre purchase evaluation and as a result the amount of post purchase evaluation done in services is much higher than in case of goods. Some of the reasons for this are:

- i. Mass communication conveys very little about experience qualities.
- ii. Most of the service providers are local/independent and therefore lack the financial or marketing acumen to promote their offering.
- iii. Shared advertising is rare as the producer and retailer are the same in services.
- iv. Very few attributes of services could be discovered prior to purchase.

Criteria for Evaluating Quality: Consumers normally tend to evaluate the quality of a service offering through its price and physical facilities provided by the service provider. Higher the price better is the quality perceived. Same holds good for physical facilities. This is especially true when other cues for evaluating quality are not available.

Evoked Set of Alternatives: In services the customers' "evoked set of offering" is small. This is due to the following:

- i) Differences in retailing: In services the offerings of the competitors are rarely exhibited unlike in case of goods. Also, it is highly uncommon to find more than one provider of a service in a given area.
- ii) The consideration set is small as very little information is available prior to purchase.

In case of Non-professional services, the evoked set includes self-provision of services. e.g. housekeeping, laundry etc.

Innovation Diffusion: Consumer adoption of innovations is much slower in case of services than in products. This is because consumers have to find a distinct benefit in the offering of the competitor to shift to that. Complexity of services makes it difficult to evaluate the ability of the provider and indivisibility does not allow trying the service before consumption.

Perceived Risk: Consumers associate greater risk with buying services than with goods. This is on account of intangibility of services which makes it difficult to get information about the offering. Most services are not standardized even if they are provided by the same provider because a

lot depends on the person's caliber and ability to customize it based on the need of the consumer. Another important reason is that unlike in goods most services do not come with guarantees/warranties.

Brand Loyalty: Brand switching is lesser with services as compared to products. This is due to the following factors:

- i) Greater search and monetary cost associated with moving to another service provider.
- ii) Fewer substitutes are available for services.
- iii) The rapport that a consumer creates with a service provider prevents him from moving to a new provider as there is always a possibility that the new provider may not understand his needs as well as the previous one did.

Attribution of Dissatisfaction: The provision of the service is based on the requirements stated by the consumer. As such he holds himself partly responsible if the service provided is not up to his requirements and hence complains less frequently.

Perceived Control: The model proposed by Bateson emphasizes that consumers evaluate services control, they are able to exercise in a given situation. Perceived control theory is based on the premise that customers feel more satisfied with a service if they believe that they have greater control over the service delivery. This notion is useful when designing new services. Similarly, if the employees also think the same way, satisfaction drawn from the job is higher. However, they two may not co-exist simultaneously, therefore, it is important for the organization to balance out between the two, by developing adequate service standards, communicating the same to the consumers, to deliver the services adhering to those standards and developing systems for operational efficiency.

Activity 2

If the branch manager of a new bank branch office is considering to give 'Corporate Card' to his executives, what decision process he is likely to go through based on the service characteristics? Discuss.

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3.4 CONSUMER DECISION MAKING PROCESS FOR SERVICES

As you are already familiar, consumer buying decisions process consists of the following stages

1. Need recognition
2. Search for information

3. Alternative evaluation
4. Buying decision
5. Search for supplier
6. Purchase
7. Post purchase behaviour

In the case of services, it is useful to understand the stages of buying as three distinct phases, as proposed by Fisk, who divided the purchase behaviour into three distinct stages, namely, Pre-consumption Phase, Consumption Phase (Service Encounter), and Post-consumption Phase, and outlined the important behavioural differences with respect to service buying.

The first stage called the pre-purchase stage includes activities which take place before the actual purchase decision. These activities are typically called, problem/need recognition, information search on various alternatives and evaluation of alternatives to select the best of them. At this stage, the individual recognizes a need or problem whose solution usually involves a potential purchase. He searches for information from various sources-both internal and external and arrives at a set of possible solutions (the evoked set) and analyses these- to select the best of them.

The need recognition will drive search of information regarding the available alternatives and their evaluation. The need recognition may be activated by

- a physical condition-your hunger may activate a search for food delivery services.
- Unconscious motivation or aspiration- your desire to feel good about yourself may activate the need for a haircut.
- External influences like a marketing ad for AC servicing may alert you to the need to get the home AC serviced well before the onset of summer.

The second stage is called the consumption stage. This arises if the outcome of the prepurchase stage is a decision to buy a certain brand of service. At this stage, the expectations of the pre-consumption stage are compared with the actual service delivery. This stage is therefore also called the service encounter stage.

Finally, the post-purchase stage, which involves the evaluation of the service encounter as positive or negative, and results in a decision on whether to purchase the same service again or not based on the service consumption being satisfactory or unsatisfactory.

Table 3.1: Consumer Decision Making stages for services

Pre-purchase Stage	Key Concepts
Awareness of need, Information search Clarify needs Explore solutions Identify service products and suppliers Evaluation of alternatives (solutions and suppliers) Review supplier and alternative information = (advertising, brochures, websites) Review information from third parties (e.g., published reviews, ratings, comments on the Web, blogs, complaints to public agencies. Satisfaction ratings, award, discuss options with service personnel, get advice and feedback from third party advisors and other customers. Purchase decisions on service purchase and order/reserve/book	• Need arousal • Evoked set • Search, experience, and credence attributes • Perceived risk Formation of expectations: • Desired service level. • Predicted service level • Adequate service level. • Zone of tolerance
Consumption or Service Encounter Stage	Key Concepts
• Request service from a chosen supplier or initiate self-service • Service delivery by personnel /automated system or self-service	• Moments of truth • Service system • Brand Preference formation
Post-encounter Stage	Key Concepts
• Evaluation of service performance • Future intentions	• Confirmation/Disconfirmation of expectations • Dissatisfaction, satisfaction, and delight • Service Quality evaluation • Word-of-mouth • Repurchase • Brand or Provider Loyalty

Adapted from Writz and Lovelock, Services Marketing: People, Technology, Strategy, 9th edition

Let us go through each of the steps shown in the figure 3.1 and the related concepts as shared in the table 3.1

Pre-Consumption stage

The first stage in the decision process as shared in the above paragraphs, consists of need recognition, information search and alternative evaluation.

The related concepts perception and management of risk role of consumer expectations and zone of tolerance are also discussed.

Need recognition: Awareness or arousal of a need in the buyer's mind may be activated by either a physical condition (your being thirsty may make you aware of the need to order a cold drink), a personal aspiration or self-image (you want to your best for an upcoming social event) or external influences like a marketing stimulus in the form of a compelling an advertisement for comprehensive insurance, or a friend's glowing review of a newly released movie.

Once the need is aroused, the consumer will take action to satisfy the need by searching for alternatives that would satisfy the need. The identification of what would be an appropriate satisfier is strongly affected by culture, social status, reference groups and that type of family socialization the buyer has experienced while growing up. This step will lead to the second stage of information search

Information search: the need recognition stage triggers the search for alternatives to satisfy the need. As noted above in the section on service characteristics and consumer behaviour, the information search may involve alternatives like self-provision or buying (your preparing a fresh lime for yourself or ordering it) once the decision to buy the service is made, several alternatives may be studied to finalise the one that would fit your requirements the most. As one you already know, the evoked set for services are much smaller than for products. Your evoked set for services may be drawn from your experiences, the marketing stimuli that you are exposed to, the information coming in from your reference groups or social set and so on. When you are buying a high involvement service for the first time your information search will also involve search for criteria which may be used to evaluate the alternatives. For example, that you are searching for a management institution for your MBA, you might want to the most important criteria to rate the institution vis a vis your need and aspiration, whether it is the placement record, the faculty quality and credentials, that teaching-learning processes or the flexibility required for working students.

Alternative evaluation:

You have just studied about the search experience and credence qualities of services. While evaluating alternatives, you may find the service alternatives you were looking may have some search qualities, for example in case of the management institute, you may be able to find the faculty profiles, the placement records, the details of the infrastructure and the attended flexibility is provided to the students on the university website. That teaching-learning processes however partly belong to the category of experience qualities, and can only be found out by talking to existing students or alumni.

For quite some time, marketers have been using the facilitating of technology to expose potential buyers to some experience qualities in case of services. For example, in case of vacation destinations, videos and visual tours, interactive chats using a chatbot, buyer reviews and testimonials are shared to let the potential customer have a clear idea of what can be expected in a given destination. A lot of service providers use media-based service

demonstrations focusing on the experience of consumers consuming the service

Using the same example in respect of credence qualities, the health and hygiene conditions, the consistency in cleaning services, quality of food preparation are some of the variables about which evaluation even after experiencing the service may be difficult. The higher the extent of the intangibility and heterogeneity in a service, the higher would be the risk perception of the consumer on account of the difficulty in evaluation of alternatives since a lot of qualities of will be higher on credence qualities than search qualities.

Perception and management of risk by service consumer:

Risk perception in services is much higher in all those cases where the proportion of experience qualities and credence qualities is higher than that of search qualities, making the purchase evaluation difficult. Consumers also feel higher risk in situations where the results of the service performance are non-reversible (e.g., a bad haircut, a knee replacement surgery) or long-term in nature (e. g. school education, investment advice or weight loss program.)

Typically, service consumers handle this risk by seeking information from personal sources who may have used the service, relying on reputed service providers, visiting service facilities or even talking to service employees. Services that include service warranties or guarantees aid risk reduction for consumers. Consumers increasingly also use the Internet to extensive research for comparative information on alternatives, collect and analyse buyer reviews and also looked at independent ratings.

Marketers use this understanding of risk avoidance behaviour to develop strategies like

- providing as much information as possible through service brochures, websites and possibilities of interaction through Chatbots, service consultants available online, demonstration videos and even site visits. Other frequently used options are

- enabling free trials – Tata Sky, Netflix and Prime video, the leading Entertainment Service providers, in their promotional offers free trial for a week or ten days to expose potential consumers to the possibilities of the service.

Building Trust by sharing of credentials: many professional services like consultancy, architecture, medicine, legal services and even education service providers displayed their credentials and certifications in an attempt to convey to consumers the quality and credentials of people who may be performing the service

Promotion targeted at service in action and post consumption- integrated marketing communication targeted at building familiarity with the service in its, showing consumers experiencing the service and focusing on key service dimensions are used to reduce the uncertainty associated with services and often help to build consumer confidence

The role of consumer expectations:

During the pre-consumption stage, and through the processes of information search and alternative evaluation, consumers access a lot of information about service attributes vis a vis their own aspirations, comparative qualities of the competing providers, exposure to the public and social media regarding these services and end up forming a set of expectations regarding their chosen alternative for service consumption, consumer expectations tend to vary over situations and over time. A very hungry consumer, with a very little time to have lunch before his next meeting starts, would have high expectations of the service delivery time but not very high expectations regarding table service or even food presentation. The same customer may have very high expectations of table service and food presentation, when he is taking his family out for dinner, but may not be very finicky about fast delivery.

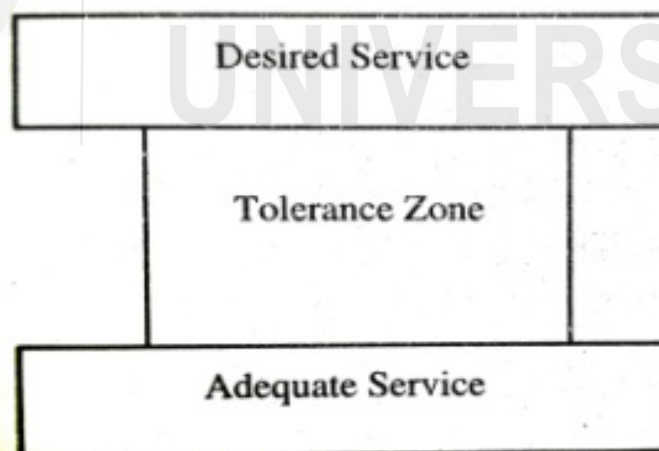
Service expectations have a major impact on the feeling of customer satisfaction during the consumption and the post consumption stage.

Range of services expectations as developed during the pre-consumption phase can be better understood by looking at the range of expectations for a given service.

As shown in the figure 3.2 below, the adequate service represents the minimum level of service that the consumer will accept.

The desired service is the expectation of the service that the consumer wishes and hopes for. The desired service level is formed on the basis of the explicit and implicit promises made by the service provider, the experiences of other users and the consumers own experience.

Figure 3.2: Consumer Expectation and Zone of Tolerance



There is a whole range of acceptable performance that lies between adequate service and the desired service. All these performances fall into the zone of tolerance for the consumer. Based on the heterogeneity characteristic of services, service performance by even good providers may vary a little from the ideal performance. All service performance that is above the adequate service level but still capable of adequately satisfying the consumer falls into the zone of tolerance. While marketers aspire to deliver the desired service levels at all times, marketing action needs to be strongly focused

on ensuring that the service performance does not fall below the zone of tolerance.

The service expectations and purchase decisions of consumers are also affected by the evaluation of what level of service performance can be predicted from a given provider based on earlier performance experience as shared by other users and reference group members. That expectation of performance has also been referred to as “predicted service” in service marketing literature.

Purchase decision:

Once the consumers have evaluated their alternatives for a given service choice on the basis of information search and comparison of attributes, the consumer decides on the best solution. You may recall the content studied on consumer extensive problem solving, limited problem solving and Routinised response behaviour in your basic course MMPC-006, Unit 4 Consumer Behaviour (<https://egyankosh.ac.in/bitstream/123456789/79490/1/Unit-4.pdf>)

When the service buying decision relates to frequently bought low-involvement services, like choosing a taxi service for travel to and from the office, or using a courier service, the decision process follows the routinised response behaviour, with very little alternative evaluation done as the buyer usually has a preferred choice, the evoked set is very small, and the buyer’s experience with the service is very high. The decision, therefore, is taken quickly, with little effort spent on information search as the buyer is fully aware of the existing alternatives and their attributes.

In cases where service is infrequently bought or there is a long-time gap between subsequent purchases, the buyer follows a limited problem-solving process, then he has some but not all information about the decision alternatives, as the alternatives may have changed between his last and present purchase situations, new service attributes in some alternatives may have been added, or his own service expectations may have changed. Examples could include interior painting of the house, packing and moving services, selection of a new healthcare provider or choosing a new programme of study. The buyer has a clear understanding of the need, some information about previous alternatives, but not enough information about new alternatives or new ways of resolving his need. As a result, he conducts some research to better understand the new service attributes, compares earlier and new service editions, and then makes a decision.

In cases where the services are bought for the very first time, or if it is a high-cost or high-involvement service on account of personal relevance or importance of the purchase, the situation is categorised as an extensive problem-solving situation. Examples could be buying a catering service for an important family event or professional event; selecting a honeymoon vacation package; selecting a hospital or a practitioner for cardiac surgery. In such cases, extensive search for information is followed by effort and time spent on alternative evaluation in what is perceived as a high-risk decision. A lot of personal sources are utilised for information search and many of the risk reduction steps described in the preceding paragraphs are taken. The decision is only taken after careful alternative evaluation. It’s the purchase decision that leads to the next phase, i.e., the consumption phase.

Activity- 3

Consider the selection of a service like online tuition for your child. What the influences that will influence your service expectation levels and zone of tolerance?

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Consumption stage:

This is the stage where the consumer experiences the service, which begins after some positive action, like placing a service order, or applying for service delivery, is undertaken by the consumer. This stage is also called the “service encounter stage” and may involve a series of interactions with the service provider. Depending upon whether this is a low-contact service, involving return of no contact with the service provider (for example, using your ATM card for a tight range of banking services) or a high-contact service, involving a series of interactions with the service provider (for example, joining an undergraduate degree programme at the university, buying a long-term maintenance contract for your household appliances, investing in a long-term savings plan), the consumer is at this stage of evaluating whether the actual service provision meets his pre-purchase expectations or not. The term “Moments of Truth” was introduced by Richard Norman to show the importance of the contact point for service encounters.

Then the service provider and the customer have indirect contact with each other, either in person or remotely. The potential to convert this encounter into a satisfying or delightful experience depends a lot on the skill, empathy, and concern of the service contact person.

In the case of high-contact services, on account of the frequent contact and interaction, the possibility of developing a customer relationship conducive to all stakeholders is very high. Understanding this, service marketers in high-contact services create specific customer relationship and customer retention policies so that every encounter with a service person adds to the positive evaluation of the service experience.

On account of the rapid adoption of technology, a number of high-contact services are actually being converted into low-contact ones. For example, on-line buying of insurance services.

Post Consumption Stage:

This is the stage where the consumer, having experienced the service, evaluates the service experience in terms of meeting, failing to meet or exceeding his expectations.

The pre-purchase confirmation of service expectations provides the consumer satisfaction tactical defined as a fulfilment response. The inability of the service to meet consumer expectations leaves the consumer with a feeling of dissonance and dissatisfaction. In cases where, the service

provider not only meets the expectations but exceeds them, the fulfilment response becomes one of customer delight.

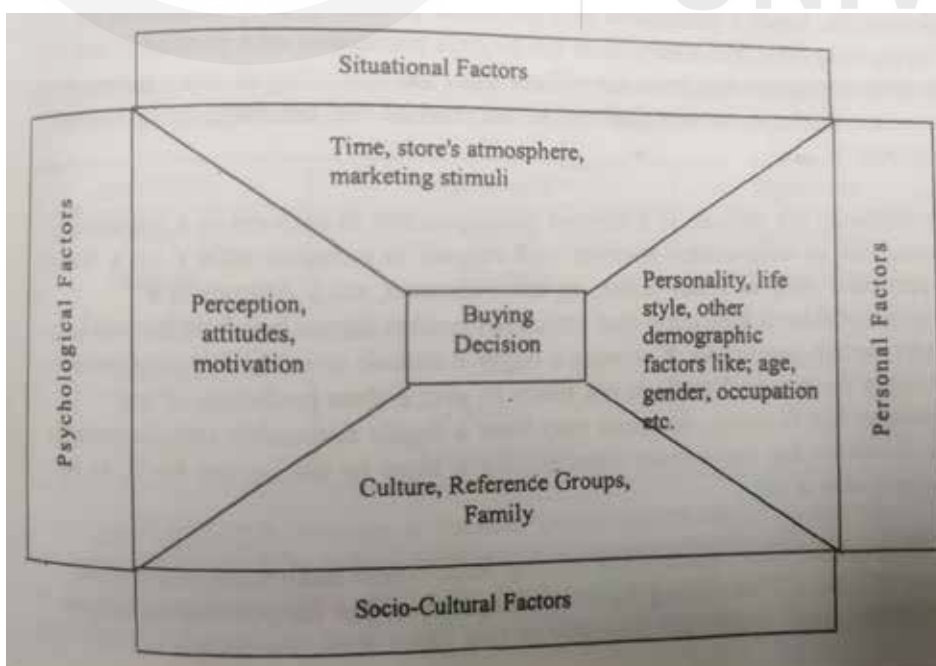
As long as the service performance falls within the zone of tolerance of the consumers, they are reasonably satisfied with the service. When the service performance falls below the adequate service level, it results in customer dissatisfaction. Investment of funds on the basis of comparative analysis and data made available to related services is an example.

The three-stage model of the consumer decision process for services—pre consumption, service encounter, and post-consumption—helps us to understand how service consumers recognise their needs, search for alternative solutions, address perceived risks, choose, use, and consume a particular service, and finally, evaluate their service experience, resulting in a customer satisfaction outcome or otherwise. The outcome, if satisfactory, will have an outcome of repeat purchase and continued satisfying encounters will mature into brand loyalty.

3.5 FACTORS INFLUENCING BUYER BEHAVIOUR

There are a number of factors or variables which affect the buying behaviour. For example; people go on holiday during the vacation time so vacations become a variable. Similarly, a person may not buy any of the saving schemes till he comes in the tax bracket, so “tax payer” becomes a variable. A person may visit an exclusive restaurant during ‘happy hours’, which he does not visit normally. In this case the marketing efforts of the organization (sales person and the scheme) becomes the factor influencing to buy. Similarly, there are other factors which affect the buying decision. These factors can be classified into four major categories, namely: situational factors, buyer’s socio-cultural factors, personal factors and psychological factors. These have been summarized in the Figure 3.3

Figure 3.3: Factors Influencing Buyer Behaviour



The decision making is affected by the psychological field, i.e., the internal influences. These influences include motivation, perception, learning, personality and attitudes, the socio-cultural influences like family, reference groups, and culture; and situational factors like time. The output portion of the consumer decision making model includes two associated activities, i.e., purchase behaviour and post-purchase evaluation, which you just went through in section 3.4 of this unit.

3.6 IMPACT OF RECENT DEVELOPMENTS AND TECHNOLOGY ON CONSUMER BEHAVIOUR IN SERVICES: IMPLICATIONS FOR MARKETERS

Service marketers and consumers find themselves living in a world buffeted by rapid winds of change, some of them, like the pandemic, completely unprecedented ones. Because of the business situations that resulted from the pandemic, the rapid advancements in technology and its use by both marketers and consumers have accelerated in the last two years. Recent developments in services marketing and consumption include a greater emphasis on customer retention, understanding returns on investment as well as relationships, analysing consumer lifetime value, using technology to obtain very comprehensive factual information on consumer expectations, alternative evaluation processes, consumer satisfaction and loyalty patterns.

From the marketers' side, major applications of recent technology are being implemented to improve operational efficiencies, service delivery and packing of service performances. Let us take a brief look at some of these developments and their implications for marketing action.

1. Understanding consumer expectations and applying them to personalization: the facilitation provided by data analytics, artificial intelligence, and simulation has enabled marketers to access actionable information on the changing expectations of consumers. This has in turn supported better target market identification, customization, and delivery of more personalised services and built engagement. One has only to look at the technology-supported banking services being offered currently to understand how technology has enabled standardisation on the one hand and the possibilities of personalization at the end customer level.
2. Internationalization and market access: the increased use of the Internet by consumers has increased the trend of market taxes of services beyond national boundaries; the dynamic growth of massive open online courses (MOOCs) and consumer acceptance of quality learning at any time and from any location has created dynamically different trends in the design, customization, and delivery of educational services.
3. Rising focus on customer retention: while consumer acquisition and attention are both important, there is ample research evidence to show that customer retention is far more profitable to service organisations in terms of comparative return on investment. Internet connectivity has enabled consumers to be exposed to competitive offers, and ease

of switching is much more prevalent (a common example is that of mobile number portability when consumers switch providers). This has forced service marketers to engage more with consumers, be more responsive to service requests and complaints, and actually reward long-term relationships. Loyalty bonuses, accumulation of usage points, and banking privileges are all examples of rewarding service patronage over time.

4. Increasing use of service bundling: in order to create possibilities for comprehensively covering customer needs, trends in service bundling have accelerated following the disruption of many businesses during the pandemic period. Not only have service organizations, in an effort to satisfy many related needs, been bundling services from their own product line, but they have also collaborated with other service providers to create attractive value packages for their consumers to enhance the overall value proposition but also to retain consumers in an intensifying competitive situation. Examples abound of telecom service providers tying up with entertainment services to offer packages like a one-year Netflix or Amazon Prime membership free with their mobile post-paid services; travel aggregators like Make My Trip, providing insurance, accommodation, and car rental packages to provide end-to-end service solutions to ensure that consumers remain engaged with them.
5. Using the virtual experience: as the enabling power of technology, marketers are using virtual reality and simulations to provide service tours, demonstrations of service processes, and actual demonstrations, with the objective of reducing pre-purchase risk, enabling virtual experience, and attracting consumer interest. In high-contact services like hospitals, where experience qualities are important determinants of buying, such tools help to build consumer familiarity and trust.
6. Enabling consumer reviews and interaction: Consumer service marketers are increasingly encouraging the formation of service clubs and fan clubs to provide opportunities for customers to share experiences, reviews, and commentary, as well as have detailed interactions, through such platforms. Reviews from satisfied customers and demonstration of the resolution of complaints again help to build credibility and trust while aiding in alternative evaluation by prospective consumers.
7. Simplifying access, delivery, and post-consumption experience: After learning from the initial bottlenecks in online ordering access and delivery, a clear trend of progress is that of simplification of search, information provision, payment protocols, ordering, and acquiring services. Very common examples can be seen in the ordering of insurance, food, movie tickets, travel, accommodation booking and household services like cleaning, painting, pest control and so on.
8. Rising connectivity of consumers: Using multiple devices and connectivity options, consumers are hyper connected to businesses and highly aware of their consumption options, experiences of other customers, new developments in the market, and the various deals

being offered by different providers as well as the integrator platforms. The very high penetration of mobile-based Internet access has accelerated the use of digital services and has enabled ease of access for consumers. Research shows that over 50% of the e-commerce in the U.S. was transacted through mobile phones, and 54% of the daily commuters in the UK used the travel time to search for products and services and to transact. (<https://thekeenfolks.com/the-impact-of-technology-on-consumer-behaviour/#:~:text=New%20technology%20has%20empowered%20consumers,share%2>).

Marketers can use the opportunity created by this trend to engage with consumers on an everyday basis, build relationships, and create customised promotions.

9. **Rising consumer expectations:** Consumers today are exposed to competitive offers, service innovations, and feature improvements on an immediate basis, as well as the views and reviews of other service users. These developments have served to raise consumer expectations both in terms of service attributes and service quality. Expectations of resolution of complaints and service recovery are also now rising. Marketers have responded by creating and utilising Marketing Automation Software and AI-enabled chatbots to help connect with consumers better.

The high proliferation of service providers, rising competition, and more informed and empowered consumers have created a new dynamic in the service provider and consumer relationship. Widespread penetration and usage of mobile technology and Internet-based facilitation through other devices have created new opportunities for consumers, widened markets for service providers, opened up opportunities for collaboration and bundling, and enabled the beating up of competitive advantages through effective customer retention and customer relationship management.

3.7 SUMMARY

The buying process for services is typically different from those for manufactured goods. Many service characteristics like intangibility, heterogeneity, and inseparability result in the way consumers identify their consumption needs, evaluate their alternatives, and manage the risk of service purchases. This unit looks at the implications of service characteristics on consumer buying decisions, explains in detail the stages in the consumer decision process and the service concepts involved at each of these stages. A brief recap of the factors influencing buyer behaviour has been done. The unit also discusses the recent trends that have impacted consumption of services, including the impact of technology and the implications these developments have for marketers and providers of services.

3.8 KEY WORDS

Consumption stage: the stage where the consumer experiences the service. It is also called the “service encounter stage” and involves interactions with the service provider.

Credence qualities are those that cannot be verified even after purchase and consumption.

Experience qualities are those that can only be verified after purchase and consumption of the product.

Individual buyers are those who buy a particular service for their own or family's consumption or use.

Organizational buyers are those who buy services for the organisational use

Post Consumption Stage: where the consumer, having experienced the service, evaluates the service experience in terms of meeting, failing to meet, or exceeding his expectations.

Pre-Consumption stage: the first stage in the decision process and consists of need recognition, information search, and alternative evaluation.

Search qualities are those that can be verified easily prior to purchase by actual inspection of the good;

3.9 SELF ASSESSMENT QUESTIONS

1. In what ways does the buying process differ between an individual buyer and an organisational buyer? Use examples from your own experience to demonstrate.
2. What are the differences between 'search', 'experience', and 'credence' qualities? What are the implications of these qualities for service marketers? Explain with the help of examples.
3. Why do consumers of services perceive higher levels of risk associated with their purchases? Discuss with the help of examples.
4. Using the example of availing a home loan, explain the consumer decision-making process using the three-stage model suggested in this unit. Describe the various steps engaged by you as a prospective buyer, under each of the stages.
5. What are the implications of the concepts of adequate service, desired service, and zone of tolerance for services for a marketer? Taking the example of an AC maintenance service, explain the service levels and the inputs that can be drawn for the service delivery.

3.10 PROJECT QUESTION

Estimate your monthly spending for a typical month. What proportion of your spending is spent on services versus goods? What would you cut if you had to reduce your spending?

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